CITATION: Lukovnjak v. Weir, 2016 ONSC 6893
COURT FILE NO.: 13-250
DATE: 2016/11/07

ONTARIO

SUPERIOR COURT OF JUSTICE

BETWEEN:	
Michael Vlado Lukovnjak	Andrew S. MacDonald, for the applicant
Applicant	
– and –	
Lori Ann Weir	Justin N. O'Rourke, for the respondent
Respondent	
	HEARD: May 12-13, 2016, and by way of written submissions

LEACH J

JUDGMENT

[1] The parties to this family law dispute separated in February of 2013 after a relationship of 16-17 years, (including a 12-year marriage), that produced three children.

[2] They commendably were able to resolve many of the issues resulting from their separation, including all custody and access concerns. They nevertheless were unable to resolve a number of lingering specific issues relating to equalization and support, in respect of which they require the court's assistance.

Narrowing of issues and procedure

[3] When the matter came before me during the Stratford trial sittings in May of 2016, it had been allocated two days of hearing in accordance with the trial duration estimate provided by counsel.

[4] In an effort to focus the parties' efforts, and ensure completion of the hearing within its allotted time, I invited counsel, a short time into the hearing, to clarify and confirm the

specific remaining disputes requiring court resolution.[1] That resulted in an agreed list of "Issues Requiring Determination by Trial", which was marked as Exhibit "A" for identification and reads as follows:

ISSUES REQUIRING DETERMINATION BY TRIAL

1. In relation to equalization of net family property:

   a. The extent, if any, to which a loan received from the applicant's mother and step-father should be a permissible deduction in net family property calculations.

   b. The extent, if any, to which proceeds received by the applicant through a personal injury settlement should be excluded in net family property calculations.

2. In relation to support:

   a. Determination of appropriate levels of each party's income for the purpose of support calculations, and in particular:

      i. Determination of the extent, if any, to which proceeds received by the applicant pursuant to a structured settlement, (put in place as part of the aforesaid personal injury settlement), should be included in the applicant's income for support calculations.

      ii. Determination of the extent, if any, to which income should be imputed to the respondent for the purpose of support calculations.

   b. Determination of whether or not the respondent has an entitlement to spousal support.

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[1] In addition to trial efficiency, another reason for narrowing of the issues to be decided at trial stemmed from indications, early in the trial, that certain information required for a complete global resolution of all issues, (e.g., pension valuations required to make final determinations in relation to the broader issue of "equalization of net family property"), were not and would not be available prior to the conclusion of trial.

c. In relation to the respondent's claim for retroactive support:

    i. Determination of whether the applicant's payment of child support should be retroactive, and if so to what date.

    ii. Determination of whether the applicant's payment of spousal support, (if any), should be retroactive, and if so to what date.

[5] Counsel indicated an expectation that any further issues were capable of resolution through further party calculations and discussion, once those specific issues had been decided.

[6] On consent, and at the request of the parties, I also made an order at trial permitting the applicant to amend his claim so as to include a formal request for a divorce. On a similar basis, I also made an order severing the claim for a divorce from the corollary issues, so as to permit processing of the divorce claim by way of an appropriate rota basket motion.

[7] The hearing before me then proceeded with the filing of exhibits and oral testimony directed towards the agreed issues specified above. In particular, I received testimony from the following witnesses:

- the applicant, Michael Vlado Lukovnjak;
- the applicant's mother, Kathy Nigro; and
- the respondent, Lori Ann Weir.

[8] As the receipt of that testimony exhausted the allocated hearing time available, the parties then agreed to conclude the matter by way of written submissions, which subsequently were delivered. In particular, pursuant to a directed timetable, I have received and reviewed the following:

- a combined brief of written submissions and authorities delivered by the applicant on or about May 27, 2016;
- a brief of responding written submissions and a brief of authorities delivered by the respondent on or about June 10, 2016; and
- a brief of reply written submissions delivered by the applicant on or about June 17, 2016.

[9] Before proceeding, I note that counsel for the applicant, in his reply submissions, took issue with paragraph 94 of respondent counsel's written submissions, insofar as it was said to include reference to factual matters and developments that were not properly in evidence.

[10] In my view, that objection has merit to some extent, insofar as the paragraph refers in part to certain alleged facts and developments not forming part of the existing court record, (which would include such matters as the dates of previous court appearances), and not contained within the agreed facts, testimony and/or exhibits placed before me at trial. In reaching my decision, I accordingly place no weight on the content of paragraph 94 of the respondent's written submissions, to the extent it raises such concerns.

Background

[11] I will have more to say about particular events and developments when addressing each of the specific issues I have been asked to decide.

[12] However, the following factual determinations, (many of which reflect matters that were either agreed or not seriously in dispute), form the basic context of my further analysis:

- The applicant was born in 1975, and was almost 41 years old at the time of trial. He has a grade 12 education.

- The respondent was born in 1974, and was 42 years old at the time of trial. She has a grade 11 education.

- The parties began living together in 1994, (according to the applicant), or January of 1996 or 1997, (according to the respondent), and were married on September 15, 2001.

- Both parties generally worked outside the home full time during the marriage, (apart from periods of disability and leave noted below). Indeed, both came to be employed as machine operators doing shift work for the same employer, (FAG Aerospace, a substantial manufacturer here in Stratford), earning similar hourly wages. The applicant started with that employer in 1996 and the respondent in 2001, after closure of the factory at which she previously had been working as a line operator for seven years. Each was trained for their respective positions, but otherwise did not embark on further education or upgrading of their qualifications. The applicant usually worked day shifts, (from 7am to 3:10pm). The respondent began by rotating between the day shift, the afternoon shift, (from 3:00pm to 11:10pm), and the night shift, (from 11pm to 7:10am).

- The respondent became pregnant for the first time in September of 2002. Over the course of that pregnancy, she would experience significant health complications requiring medication, surgery, intermittent hospitalization, and temporary absence from work on short term disability.[2]

- On December 22, 2002, the parties were involved in a motor vehicle accident. (The applicant was a passenger in a vehicle, driven by the respondent, which left the road and hit a tree.) The accident prompted formal claims for damages and accident benefits being advanced on behalf of the applicant. The applicant was hospitalized for 11 days, and underwent a number of initial surgical procedures, (which would be followed by further shoulder surgery two years later). His physical injuries were such that he would not return to work for the next six years. He instead would remain at home for that period, on long term disability, collecting income replacement benefits instead of wages. As for the respondent, an arrangement was implemented, (through co-operation between the applicant's insurer and the parties' employer), whereby the respondent was granted an extended leave of absence from her regular employment, during which she not only would exercise her normal rights to maternity leave but also be paid to act as a personal caregiver to the applicant, (who was physically incapable of performing such fundamental tasks as getting up by himself, and required care and assistance 24 hours a day). That was done in lieu of an outside care worker being hired to provide such assistance, which would have entailed a greater cost to the employer. The arrangement also was consistent with the respondent's physical abilities at the time. In particular, while her pregnancy-related health complications prevented her from carrying out constant duties as a machine operator, they did not prevent her from providing care to the applicant as required, as doing so provided the respondent with opportunities for intermittent rest.

- The couple's first child, Kaylin, was born in July of 2003. The respondent remained off work on her extended leave of absence, caring for the applicant and Kaylin, until she returned to active employment in July of 2004. At first, the respondent worked day shifts, leaving Kaylin in the care of the applicant.

[2] The respondent explained that her body generally was inclined to reject pregnancy, giving rise to similar complications prior to each of her three childbirths.

However, when that proved problematic[3], the respondent switched to afternoon and night shifts as much as possible, to maximize her ability to be home with Kayla during the day.

- The respondent became pregnant for the second time in early 2005, and once again experienced considerable related sickness. In the sixth month of her pregnancy, she went on short term disability. The couple's second child, Ava, was born in October of 2005. At that point, the respondent began another one year maternity leave, during which time she was able to care for both of the couple's children.

- On or about May 3, 2006, the applicant's claims for damages and accident benefits were resolved by way of a global settlement. In that regard, the parties have agreed on the following breakdown of the total net settlement payment of $800,000 received by the applicant, (after payment of legal fees that included formally awarded costs of the litigation):

    - $226,100 (28%) for general damages;

    - $258,975 (33%) for lost wages;

    - $86,325 (11%) for future care costs; and

    - $228,600 (28%) for accident benefits to be received by way of a structured settlement, (in respect of which indexed non-taxable monthly payments commenced on June 15, 2006, and have continued to date pursuant to the schedule set forth at Tab 1 of Exhibit 4).[4]

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[3] According to the respondent, the applicant frequently would sleep and be inattentive during the day, prompting neighbors to express concern about Kaylin's care. The applicant denied there was such a concern. However, the applicant's injuries and recovery were serious enough to keep him from returning to work for six years. In the circumstances, I think he likely would have required considerable rest, and probably would have found it challenging to provide the vigilance and care necessary to properly look after an infant.

[4] In other words, $228,600 of the total net settlement related to the applicant's claim for accident benefits, while the remaining $571,400 of the total net settlement related to the applicant's tort claims. Moreover, the non-structured tort damages were broken down as follows: 40% for general damages; 45% for lost wages; and 15% for future care costs. The parties' agreed statement of facts did not extend to any similar apportionment or percentage characterization of the structured settlement. However, the documentation provided to me, (particularly at Tab 1 of Exhibit 4), confirms that the various benefits provided under the *Statutory Accident Benefits Schedule*, albeit "complex and extensive", focus on income replacement and expenses relating to the

- The respondent returned to active employment in November of 2006, at which time she was required to work straight day shifts in order to train for various new positions with her employer. Although the applicant had not yet returned to work, arrangements were made for a baby sitter to assist with the care of Kaylin and Ava.[5]

- The respondent continued to work day shifts into 2007, at which time she became pregnant for the third time. This once again brought on similar complications and sickness, requiring the respondent to go on short term disability before the birth of the couple's third and final child, Talen, in December of 2007. At that point, the respondent began her third and final year-long maternity leave.

- In early 2008, the applicant's condition had improved to the point where he was able to return to active work with the parties' employer. He would then continue working, without any leave interruptions or disability, until November of 2013.

- The respondent returned to work, after her final maternity leave, in December of 2008. As both parties now were working, and in order to avoid the expense of a baby sitter, the applicant continued to work day shifts while the respondent alternated between afternoon and night shifts, (predominantly working the "midnight shift" so that she would be home when the children went to bed at night and when they woke the next morning).

- In the years leading up to the parties' separation, both parties continued to work outside the home. However, family expenditures exceeded the parties' income, leading to associated financial strain.[6] To some extent, that strain was addressed

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treatment, care and rehabilitation of an injured claimant. The structured settlement was arranged to provide such benefits through a different mechanism.

[5] In that regard, I accept the respondent's evidence that the applicant was still taking considerable medication at the time, and finding it difficult to get up with the children in the mornings. The respondent therefore would rise early, ready the children for the day, and drop them off with the baby sitter before heading in to work from 7am to 3:10pm, after which she would return home to once again care for the children. Although the applicant was responsible for picking the children up from the baby sitter late in the morning, the respondent occasionally was called upon to leave her work and perform that duty when the applicant was not feeling up to the task.

[6] In addition to the purchase of a house and multiple vehicles, the children were actively engaged in activities such as hockey and horseback riding, and the family enjoyed past times such as movie outings, as well as occasional trips to destinations such as Toronto and Florida, (although the latter was subsidized by the applicant's parents).

by the applicant drawing substantially, over time, on the funds he had received through the global settlement.

- At some point in or around 2012, however, the applicant resolved, (in accordance with recommendations from his financial advisor), to discontinue his practice of drawing on the non-structured settlement funds to address shortfalls in the family finances.[7] He says that was done in an effort to encourage adherence to a family budget, and preserve the remaining settlement funds for the uses which originally justified the award. It seems the decision nevertheless resulted in further financial pressures and related tensions, as family spending continued to exceed available income. This was despite the fact that the respondent had taken on an additional seasonal job testing crops for a local feed mill, (Timmermans), in the summer and fall of 2012.[8]

- Financial strain was accompanied by a deterioration in relations between the parties. In that regard, the applicant denied specific instances of verbal abuse and threats alleged by the respondent. However, he acknowledged that the police were required to attend at the house several times, as well as the children's school, and that the applicant sometimes was required to leave the house as a result.

- The parties initially separated in early November of 2012, with the respondent and children remaining in the matrimonial home while the applicant left to reside with his parents. However, the applicant continued to contribute equally to the expenses of the matrimonial home, and returned to live there approximately 6-7 weeks later, shortly before Christmas of 2012. During his absence, the respondent had serious surgery on her shoulder for a previously untreated tendon tear; surgery which would require her to refrain from her work

[7] The applicant acknowledged, during the course of cross-examination, that he always treated receipts from the structured settlement as family income during the course of the marriage.

[8] Notwithstanding this second job, (which was available only from July to November, and added approximately 4 hours to the respondent's work week), the respondent continued to structure her routine and work shifts so as to ensure that she generally was home and available to address the bedtime and morning routines of the children. In particular, she usually would work from 11pm to 7:10am at FAG, return home to ready the children for school and take them to school, work at Timmermans from 9am or 9:30am to 1pm, return home to sleep for 90 minutes, retrieve the children from school to bring them home, provide supper, bathe the children and spend time with them before heading back to work at FAG. The respondent acknowledges that the applicant would assist in this routine to some degree; e.g., by cleaning up after meals and by helping with matters such as bathing the children.

outside the home, and collect disability benefits, until May of 2013.[9] In the meantime, the applicant continued to work outside the home.

- The parties separated for the final time on February 24, 2013.[10] For the next several months, the parties nevertheless continued to occupy the matrimonial home with their children on an alternating daily basis.[11] As of the agreed date of separation, the sum of $571,400 in non-structured settlements funds originally received by the Applicant in relation to his various tort claims had been reduced to the sum of $309,109.42.[12]

- Starting in the spring of 2013[13], the respondent assumed exclusive possession of the matrimonial home, (where she would continue to reside until its sale), the applicant moved into the residence of his mother and step-father, (where the applicant would reside for approximately one year without formal living expenses)[14], and the parties began sharing care of the children on an alternating weekly basis.

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[9] Although the applicant thought the respondent may have returned to work earlier, in March or April of 2013, I prefer and accept the evidence of the respondent, who inherently had a more personal and accurate understanding of her health problems, recovery, receipt of disability benefits and employment history.

[10] In the course of trial, references were made to a prior separation and reconciliation, (noted above), with the applicant leaving and returning to the matrimonial home pursuant to an agreed arrangement. However, counsel confirmed at trial that, for the purpose of this proceeding, the parties formally had agreed that February 24, 2013, should be treated as the date of separation.

[11] When not in the matrimonial home, the applicant would go to stay with his parents. The respondent variously stayed with her aunt, her grandmother, (who was dying of cancer and welcomed the respondent's care), or eventually, the respondent's new boyfriend. Although the applicant suggested this alternating daily arrangement was structured from the outset around the parties' alternating shift work, the suggestion seemed inconsistent with his admission that the respondent was off work, recovering from her shoulder surgery, for much of that period. It was also inconsistent with the respondent's testimony, which I accept, that the parties alternated occupation of the matrimonial home for set 24 hour blocks of time, for the purpose of certainty.

[12] Since the parties' separation, the value of these invested non-structured settlement funds has grown considerably, in the absence of any further substantial withdrawals by the applicant. As of May 10, 2016, the value had increased to $419,899.05.

[13] The respondent says it was the end of April or beginning of May, while the applicant says the relevant date was May 22, 2013.

[14] In his testimony at trial, the applicant indicated that he was incurring living expenses by making indefinite and irregular contributions to his mother and step-father when he could. However, I am guided by his more contemporaneous financial statement sworn on September 8, 2013, which formally indicated that he was paying

- The matrimonial home was sold on or about June 7, 2013, (approximately three weeks after the relevant purchase offer was accepted), with each party thereafter receiving an equal $18,600 share of the net sale proceeds.

- In the initial three month period following separation, the respondent relocated to a furnished house rental in Kitchener, largely because it was the only suitable accommodation she could find in the relatively brief three week period between execution of the agreement to sell the matrimonial home and the closing date of that transaction.[15] She also was obliged to address immediate debts, lacked furniture and appliances taken by the applicant, and was unable to afford the cost of suitable rental accommodation then available here in Stratford. Although the respondent eventually was able to find such accommodation in Stratford, it was not going to be available until the beginning of October.

- The applicant paid no spousal or child support in the period following immediately after separation. In that regard, the applicant's uncontradicted testimony at trial indicated that there was no initial discussion about his payment of any support, apart from the respondent indicating that she neither wanted nor needed his money.

- In September of 2013, the respondent's employment with FAG was terminated for cause, for reasons outlined in more detail below. The applicant acknowledges that he learned of the termination on the day it happened, through other employees. Notwithstanding that job termination, the respondent nevertheless initially continued to refrain from making any request for payment of spousal or child support from the applicant, and he did not proactively offer any assistance despite his continued employment. As described

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nothing for housing, utilities or other household expenses. The financial statement sworn by the applicant immediately before trial confirms that he now is paying regular rent and other utilities, in connection with a three bedroom apartment owned by a corporate landlord.

[15] The home had been listed for sale in late April or early May. However, there was nothing in the evidence before me to suggest confidence in an early sale, or that either party anticipated such an unusually short interval between acceptance of a received offer and closing of the transaction. Indeed, the parties' efforts to reach an agreement altering the residential and child care arrangements in May of 2013, (moving from alternating daily occupation of the matrimonial home to the applicant residing with his parents while the respondent assumed exclusive possession of the matrimonial home), suggests the contrary; i.e., that a new residential arrangement was necessary to cover a perhaps lengthy period during efforts to sell the matrimonial home. In the circumstances, I do not think the respondent reasonably can be faulted for not having committed earlier to location and formal rental of another residence.

in more detail below, she instead made efforts, over the following years, to address the loss of her job with FAG by engaging in a number of other jobs, sometimes simultaneously, that nevertheless were less remunerative than her employment with FAG.

- On September 8, 2013, the applicant formally commenced this proceeding by the filing of an application seeking relief in relation to custody, access, spousal support, child support and equalization of net family property.

- On October 1, 2013, the respondent moved back to Stratford.

- As of November 4, 2013, the applicant once again was unable to work. He was diagnosed as having osteoarthritis in his right wrist, left shoulder and right hip and pelvic area, all secondary to the injuries sustained in the earlier motor vehicle accident. The applicant once again began receiving his income by way of short and extended long term disability payments, instead of wages.[16] Although he attempted a graduated return to work a number of times, (over the course of 3-4 week periods with progressively increasing hours), he was never able to get back to full time duties before having to discontinue his efforts.

- On February 13, 2014, the respondent filed her formal answer, which included the advancement of responding claims against the applicant relating to custody, access, spousal support, child support and equalization. That was the respondent's first indication to the applicant that she would be seeking spousal and child support.[17]

- In April of 2015, the respondent relocated from her rented accommodation in Stratford to a rental property in Harmony, (near Tavistock), that was markedly less expensive while offering a more rural setting in which the children could play. A review of the respondent's latest financial statements, supplemented by her testimony at trial, makes it clear to me that the respondent now has a very modest lifestyle, living alone in a small house except when the children are with her. She incurs few expenditures beyond basic rent, utilities, groceries and the costs associated with maintaining and operating the aged vehicle she is using.

[16] The applicant's disability payments were suspended in early May of this year but, at the time of trial, he was taking steps to have them reinstated. Efforts also were being made, in co-operation with the applicant's employer and physiotherapist, to explore the possibility of the applicant returning to active work on some kind of accommodated basis.

[17] In that regard, the applicant's testimony at trial was not contradicted.

She clothes her children through the use of "hand-me-downs" and gift cards supplied by her parents. She has no credit card, or access to credit. She is able to drive only through use of a vehicle owned and insured by her boyfriend. She has no life insurance, and relies on benefits from Ontario Works to subsidize her health care expenses[18]. She does not travel, incurs no personal expenses, "watches every cent", and generally just tries to find "contentment in nature". To the extent she still continues to experience occasional deficits (never more than $500) between her monthly expenses and monthly income, she relies on further voluntary financial support from her parents.

- On February 2, 2016, (almost three years after the parties' final separation), the applicant made his first child support payment to the respondent. That first payment was intended to address child support from November of 2015 onwards. In particular, the applicant made a payment of $642 in relation to two earlier months, and thereafter has been paying the sum of $321 per month in child support.

[13] With that overall context in mind, I turn now to the specific issues which the parties have asked me to consider and resolve.

Parental Loan

[14] As noted above, the first issue the parties have asked me to determine relates to whether the applicant should be permitted, in the calculation of net family property for the purpose of equalization determinations, to deduct an "accumulative debt loan" he is said to have received from his mother Ms Nigro and step-father Jamie Nigro, (whom the applicant alternatively refers to as his "parents".

[15] Evidence in that regard included the following:

- The applicant and his mother testified that the alleged loan was another means of addressing, in the summer and fall of 2012, the financial strain being caused by family expenditures and needs exceeding the parties' income. In particular, the applicant says that he went to his mother, explained that he really did not want to touch his settlement fund investments anymore, and accepted his mother's indication that she and her husband "would help" in the circumstances. Ms Nigro says she understood the settlement funds were meant to look after the applicant in later life if he was unable to work, and says she therefore provided

[18] The respondent no longer enjoys coverage under the benefits plan of the applicant, but the children do.

the applicant with money because he and the respondent were "in trouble"; e.g., in relation to bills and fines that were unpaid, and a bathroom and car needing repairs.[19]

- The applicant says that, as reflected in a typed note found at Tab 15 of Exhibit 1-B, dated "October 2012" and signed by the applicant and his mother, (but not by the respondent), he progressively borrowed a total of $10,141.63 from his mother and step-father. The substantive text of the note reads as follows: "To Whom It May Concern: I, Michael Lukovnjak acknowledge that I owe Kathy & Jamie Nigro $10,141.63 for an accumulative debt loan starting Aug.18 until today October 11, 2012. I have full intentions of repaying this loan in full."

- The applicant also relied on two additional documents, also found at Tab 15 of Exhibit 1-B. In that regard:

  - Both documents are typed and undated. It is not disputed that both were prepared by the applicant's mother, Ms Nigro, who described them in her testimony as "spreadsheets" she maintained to "keep track" of the funds being advanced.

  - Both documents itemize, date and quantify various expenditures, (e.g., groceries, household items and supplies, a washing machine, "Hockey stuff for kids", a driving fine, plumbing repairs, and numerous "cash" amounts, ranging in quantum from $43.00 to $846.37, for "allowances & horseback riding", a "Credit card", the "Bank" for "bills" and/or "not to go in red", and "Car insurance"), to which the accumulated sum of $10,141.63 was said to have been directed.

  - The first spreadsheet concludes with a typed statement which reads as follows: "I, Mike Lukovnjak have asked my parents Kathy & Jamie Nigro to help us financially get over this financial hard time. *I* have borrowed this money to pay bills and sustain our family. *I* fully intend to pay them back the full amount I have signed for at 0% interest." [Emphasis added.] The second spreadsheet concludes with three sentences that read exactly the same, except that the emphasized pronoun "I" repeatedly is replaced by the pronoun "we" in the last two sentences.

[19] Ms Nigro mentioned in passing that she also has loaned money to her other child, (a daughter), but no details were provided in that regard concerning timing, quantum and repayment.

- The first spreadsheet is signed by the applicant, but the second is not. Neither is signed by the respondent.

- The second spreadsheet incorporates the typed text of the first, but adds a number of specific dates to transactions mentioned in the first. It also adds five further itemized expenditures, (e.g., “cash” for “replacing vehicle Lori crashed”, “cash” for a telephone bill in March, land taxes in April, “food for lunches and breakfasts” and “Lori Parking ticket”), totalling $3,471.00, with various corresponding dates in March and April of 2013. These additional entries are prefaced by the following statement: “Amended when Lori failed to meet her financial obligations for Jan., Feb., Mar. & April and had an accident with the second family vehicle.” They also contain a degree of commentary that is cut off in the printed version of the document.[20]

- In their testimony, the applicant and Ms Nigro both expressed their belief that the respondent was aware, at the time the funds were being advanced, that the applicant was borrowing the funds from his mother and step-father.

- The applicant also testified that repayment of the loaned funds was contemplated “once we got back on our feet and were doing better at handling money”. Moreover, both the applicant and his mother testified that about half of the borrowed funds, (approximately $5,100 according to Ms Nigro), has been repaid by the applicant.

- The respondent testified that the washing machine was the only expenditure in respect of which she knew money had come from the Nigros.[21] (She emphasized that she generally had been deprived of her bank card and ongoing access to the couple’s joint bank account, into which their earnings were being deposited, and accordingly was unable to track what was happening in relation to the family finances.) However, the respondent says she simply was not aware of any alleged loan arrangements. To her knowledge, the parties had only borrowed money from the applicant’s parents in modest amounts, such as $100.00, “once in a blue moon”, and only before the couple’s children were born.

[20] Beside the entry relating to cash for a vehicle replacement, a truncated sentence begins with “right from the hop Lori was told she could have the old van and Mike would continue to…”

[21] In that regard, the respondent emphasized that she generally had been deprived of her bank card and ongoing access to the couple’s joint bank account, into which their earnings were being deposited, and accordingly was unable to track what was happening in relation to the family finances.

[16] Deductibility of alleged parental loans from net family property turns on a number of legislative provisions, which include the following:

- "net family property" is defined as meaning "the value of all the property, except property described in [subsection 4(2) specifying "excluded property"], that a spouse owns on the valuation date, *after deducting … the spouse's debts* and other liabilities", [emphasis added];[22]

- the onus of proving a deduction under the definition of "net family property" is on the person claiming it;[23] and

- the court may award a spouse an amount that is more or less than half the difference between the net family properties if the court is of the opinion that equalizing the net family properties would be unconscionable, having regard to, *inter alia*, "the fact that debts or other liabilities claimed in reduction of a spouse's net family property were incurred recklessly or in bad faith".[24]

[17] General principles emphasized by courts, relevant to addressing questions raised by parental loans in the context of matrimonial disputes, include the following:

- Transfers of property from a parent to a child traditionally were governed by the equitable presumption of advancement, suggesting a presumption of gift rather than a situation of resulting trust or loan. However, the principle justification for that presumption is the parental obligation to support dependent children. The presumption of advancement is no longer considered applicable in relation to situations involving transfers from parents to independent adult children.[25]

- Although the presumption of resulting trust therefore now applies to transfers of property from parents to independent children, the presumption is just that; a presumption which can be rebutted based on all of the evidence.[26]

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[22] *Family Law Act*, R.S.O. 1990, c.F.3, as amended, s.4(1)(a).

[23] Ibid., s.4(3).

[24] Ibid., s.4(6).

[25] See *Pecore v. Pecore*, [2007] 1 S.C.R. 795, at paragraph 36.

[26] See *Klimm v. Klimm*, [2010] O.J. No. 968 (S.C.J.), at paragraph 28.

- When determining the character of a transfer from parent to child, criteria considered include the following:
    - whether there were any contemporaneous documents evidencing a loan;
    - the purpose or motivation underlying the transfer;
    - whether any manner of repayment has been specified;
    - whether any security has been taken or held to ensure repayment of the transfer;
    - whether transfers have been made by the parent to one child and not others, and if so, whether any transfers to other children have been in equal or differentiated amounts;
    - the age of an alleged debt, and whether the parent has made any demands for repayment of the transfer prior to the child's separation from his or her spouse;
    - the existence of litigation to collect the alleged debt, (although courts also consider whether any such litigation is a sham, aimed at bolstering external perceptions that the debt claimed is legitimate);
    - the possibility that the alleged debt may be statute barred or otherwise unenforceable, (since only legally enforceable debts can be taken into account to reduce the legally shareable property of a spouse);
    - the age, health and need of the transferring parent;
    - whether there has been any partial repayment of the transfer; and
    - whether there was any expectation or likelihood of repayment of the transfer.[27]
- Compelling reasons require courts to take a "good hard look at the reality of the situation" when determining whether a professed debt should have an effect on

[27] See, for example: *Jukosky v. Jukosky*, [1990] O.J. No. 2470 (Gen.Div.), at pp.16-17, affirmed [1996] O.J. No. 928 (C.A.); *Locke v. Locke*, [2000] B.C.J. No. 1850 (C.A.); *Cade v. Rotstein*, [2002] O.J. No. 4460 (S.C.J.); and *Klimm v. Klimm, supra*.

net family property calculations. In particular, a debt constitutes a credit in the equalization calculation, reduces the net family property of the spouse claiming the debt, and therefore has a direct impact on the equalization payment. It reduces the amount that spouse has to pay, (if he or she has the higher net family property), or increases the amount that spouse will receive, (if his or her net family property is lower). Fairness dictates that he or she therefore should not receive a credit for a debt, with the financial benefits that flow from that credit, if he or she realistically will never be called upon to pay the alleged debt.[28] There accordingly is said to be a "judicial premise" that a "spouse who claims a deduction from shareable property on the basis of a family debt in order to reduce the other spouse's entitlement will be put to strict proof of the debt" and "the true terms of indebtedness".[29]

[18] In this case, various aspects of the evidence relating to the alleged parental loan caused me concern.

[19] For example, as for the documents relied upon as evidence of a loan:

- The documentation produced at trial to confirm the alleged accumulated loan actually was not contemporaneous with the indicated advancement of funds. To the contrary, the applicant testified that the loan documentation was created only *after* his mother "had been helping or trying to help" the applicant gain "control of the finances" and "get things under control", Ms Nigro indicated that she created the documents afterwards only for her personal records, and the documentation itself clearly seems to have been created after the fact. On its face, the "To Whom It May Concern" note was executed on or about October 11, 2012, as much as 4 to 7 weeks after the incremental advances itemized in the two versions of the supplementary confirming statement and acknowledgement. Indeed, the second version of the statement, by referencing developments and transactions up to and including April of 2013, makes it clear that the documentation was being created and/or at least revised at a point almost eight months after the earliest alleged transactions referred to therein. The actual timing of the loan document creation seems at odds with the applicant's testimony suggesting that he and his mother had a discussion at the outset of the lending arrangements, indicating that she required a formal document confirming the loans, and then would keep track of where the money was owing.

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[28] *Poole v. Poole*, [2001] O.J. No. 2154 (S.C.J.), at paragraph 36.

[29] See *Jukosky v. Jukosky*, *supra*, at pp.14 and 16.

Such timing concerns are all the more troubling when one considers that the documentation supporting the existence of the disputed loan was created and edited not only after the fact, but also as the parties obviously were moving towards separation and thereafter.

- The transactions suggested in the loan documentation were not supported by other documents which might have provided objective support for their occurrence and accurate description, (such as bank statements confirming corresponding cash withdrawals, cancelled cheques, invoices for expenditures, and/or receipts for payments)[30], and testimony offered in support of the alleged transactions was at times quite vague and/or inconsistent. For example, in relation to the indicated cash advances, the applicant was unable to confirm whether he or his mother had made deposits to the parties' joint bank account, and/or whether the deposits to the applicant's bank account were made by cash or cheque. However, Ms Nigro testified that she did not use cheques, that she was unable to make direct transfers from her bank account to that of the applicant, and that she always would go to the bank to withdraw cash which was then turned over to the applicant for payments or deposits.

- The loan documentation intrinsically suggests inaccuracy. For example, not all of the indicated amounts for seemingly related entries, (e.g., the figure entered for "car repairs" and the figure entered in relation to "Perth Auto & Tire"), are consistent. Similarly, the aggregated specific amounts in the right column relating to food purchases, from various venders, does not match the total for "groceries" indicated in the left column.

- The documentation also seemed at odds with certain testimony from the applicant and his mother. For example, although the revised documentation created by Ms Nigro assigns specific dates to the indicated cash advances, she acknowledged during cross-examination that the indicated totals actually may have been advanced incrementally by way of smaller sums over time. More generally, insofar as the undated statements repeatedly refer to "cash" transactions, Ms Nigro testified that she repeatedly supplied funds by "cash in hand" for bank deposits and payments. However, the applicant testified that his mother and step-father usually would assist in paying bills by using their credit card or by allowing the applicant use of their credit card, and that most of the alleged lending assistance was "done like that", and "never [by] cash, really".

[30] For example, the applicant produced bank statements for certain bank transactions from late February of 2013 onward, but not covering the period in which relevant bank deposits were said to have been made.

Although his answers were revised in cross-examination to suggest that he may have been given his mother's credit card "or cash" to purchase items such as groceries, Ms Nigro herself indicated that she always went with her son and grandchildren to purchase groceries for them.

- Although Ms Nigro indicated that the documents were created mainly for her personal records and not for the purpose of litigation, certain aspects of what she created, (e.g., references in the second version of the itemized statement to the respondent having "failed to meet her financial obligations", and to the respondent having been told certain information "right from the hop"), strike me as being argumentative in nature, as does the obvious effort in the second version of the itemized statement to expand the indicated liability from being that of the applicant alone to that of both parties; i.e., by revision of the words "*I* have borrowed this money" and "*I* fully intend to pay" to "*We* have borrowed this money" and "*We* fully intend to pay". [Emphasis added.] It is also striking that further details were being added to the second document, (e.g., attributing specific dates to earlier transactions), when such information inherently would have been available at the time of the first version's creation. In my view, all of this in turn raises doubt as to whether the documentation was being created and revised to reflect objective realities, or through a conscious or subconscious desire to promote and/or reinforce the applicant's contemplated position in the parties' pending litigation.

[20] For similar reasons, I was troubled by what I perceived to be various indications that the applicant was receiving funds from his parents and documenting the alleged loan transactions unilaterally, without involving the respondent or providing her with contemporaneous indications that loans were being incurred. The reasons for doing so seem difficult to understand if the advances always were intended to be genuine loans for the benefit of both parties and their children. In that regard:

- I found it striking that no effort was made to have the respondent review and sign the loan documentation, despite express indications therein that the applicant had requested such lending assistance "to help *us* financially get over this financial hard time", and "to pay bills and sustain *our* family". [Emphasis added.] Similarly, the subject apparently was not raised even during discussions and meetings in November of 2012, (involving the parties, their respective mothers and an aunt), to clarify and document the parties' respective obligations prior to their initial separation.

- In the course of cross-examination, and when expressly challenged about failure to inform the respondent about the alleged parental loans until well into this litigation, the applicant suggested that he had verbal discussions with the respondent at the time the various sums were being borrowed; i.e., "when the money was coming in". However, in his initial testimony concerning the respondent's knowledge of the loans, during examination in chief, the applicant notably stopped short of alleging any contemporaneous discussion with the respondent about the loans, and instead merely suggested that the respondent should have known because "all these things were happening and it wasn't our money". In my view, the applicant's earlier indication of his reliance on the respondent making an inference seemed the more spontaneous and genuine response, and one certainly more consistent with the respondent's apparently sincere testimony, which I accept, that she was given no contemporaneous indication of the alleged loans. It is also consistent with Ms Nigro's testimony clearly indicating that she had no direct interaction with the respondent concerning the alleged loans, and was relying instead merely on an "assumption" or inference that the respondent must have been aware of the alleged loans because bills were being paid and repairs were being made despite the fact "they had no money".

- In my opinion, the inference of the respondent having contemporaneous knowledge of the alleged loans was not as obvious as the applicant and Ms Nigro seemed to suggest. As emphasized by the respondent, she had taken on a second job at the time of the relevant underlying expenses, and the applicant previously had drawn on his settlement funds if and as necessary to address shortfalls in the family finances. Moreover, even if the respondent knew or surmised that expenses had been covered in the first instance through funds provided by the applicant's mother and step-father, such knowledge alone would not necessarily have entailed awareness that the incremental advances were resulting in mounting unpaid parental loans. In particular:

    - Ms Nigro candidly indicated a past practice of her extending "loans" to the applicant that were in the nature of short term bridge financing, simply to cover delays caused by the procedures involved in the applicant drawing on his settlement funds. When the settlement funds were received, they then were used to repay Ms Nigro, leaving no residual parental debt.

    - The applicant also acknowledged that his supportive mother and step-father had made incremental gifts of cash to the applicant in the past. Although the applicant emphasized that such gifts were never more than $100.00, and certainly never approached the sum of $10,000, I am mindful of the reality that the funds underlying the alleged debt were said to have been advanced progressively, over time, with a number of underlying components being less than $100.00. Moreover, the applicant's parents had demonstrated significant generosity in the relatively recent past; e.g., by paying for all flight and accommodation expenses associated with a family trip to Florida.

  - I also think it noteworthy that the funds also were being advanced at a time when the need for parental support was greater, which in turn may have prompted greater generosity.

- In further testimony, the applicant did indicate that he had told the respondent of the loans, and emphasized that he had a printed copy of a text message exchange to confirm that was done. However, the relevant text message exchange is dated May 21, 2014, and records the applicant posing the following question to the respondent: "What about the loan I took from my parents *I told you about last year*?"[31] [Emphasis added.] In my view, as the loaned funds were said to have been advanced in August and September of 2012, the email actually suggests that the respondent was told about them well after the fact, and likely after the parties' separation.

[21] As for other considerations noted above, in relation to such determinations, I also note the following:

- The stated "purpose or motivation underlying the transfer" was to "help" the applicant and his family because they were in "trouble", facing mounting unpaid bills. However, parents obviously can assist their children with gifts as well as loans.

- No manner of repayment was specified in the loan documentation or otherwise.

- No security was taken or held to secure repayment of the transfers.

- As noted above, there was no detailed or meaningful evidence about loans also said to have been made by Ms Nigro to her other child, the applicant's sister.

- There was no evidence before me of any requests by the applicant's mother or step-father for repayment of the indebtedness, either before or after the alleged partial repayment of the loan.

[31] The printed text exchange is found at Tab 6 of Exhibit 2.

- There similarly was no evidence to suggest that repayment of the loans was a pressing concern, owing to the age, health or needs of Ms Nigro or her husband.

- Testimony from the applicant and Ms Nigro concerning repayment of the alleged debt was somewhat inconsistent. In that regard, the applicant indicated that approximately half the indebtedness was repaid following sale of the matrimonial home in June of 2013, whereas Ms Nigro testified that the applicant repaid approximately $5,100 of the debt through incremental ad hoc payments over time, (although the largest was made from the matrimonial home sale proceeds). In either case, I find it striking that the "loan" documentation created and progressively edited by Ms Nigro, supposedly to "keep track" of the situation, focuses exclusively on advances supporting the alleged indebtedness, with no mention whatsoever of any repayment or repayments by the applicant. Furthermore, I think it significant that the applicant did not make full repayment of the alleged debt when he clearly was in possession of funds sufficient to do that[32], and that he apparently has made no further repayment in the intervening years since 2013. In particular, leaving half of the alleged debt outstanding for such a prolonged period of time, without any efforts at repayment, demands for collection or formal collection measures suggests to me that it is not regarded as a true debt, and/or that attitudes towards the professed obligation are being driven in large measure by a focus on the outcome of this litigation; an attitude also inherently at odds with the debt being a true immutable obligation.[33]

[22] All of the considerations outlined above reinforce my serious doubts about whether sums were advanced by Ms Nigro to the applicant in the amount and manner alleged, and if so, whether any or all of the advanced funds always were intended to be loans rather than gifts from supportive parents.

[23] On balance, I simply am not satisfied, on the evidence before me, that the applicant has provided the requisite "strict proof" necessary to justify deduction of the alleged

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[32] For example, in addition to his non-liquidated settlement assets, a statement relating to the applicant's personal bank account, as of August 28, 2013, indicates a balance of $16,882.87.

[33] In that regard, I would not go so far as to conclude that the alleged debts are statue-barred, as suggested by respondent counsel. At the very least, the partial repayment said to have been made by the applicant, within two years of the first relevant transfer, arguably might have been sufficient to "reset the limitation period clock", pursuant to s.13(1) of the *Limitations Act, 2002*, S.O. 2002, c.24. However, I still think it noteworthy that neither the applicant nor Ms Nigro mentioned any contemplated pending repayment at the time of trial, even though the ostensible limitation period, extended by the applicant's acknowledgement via partial repayment of the debt, possibly was about to expire within a matter of weeks.

parental loan from his net family property for the purpose of equalization calculation. There accordingly should be no such deduction.

Personal injury settlement – Net family property calculations

[24] Discussion of whether damages received by a spouse should be excluded and therefore effectively deducted in the calculation of that spouse's "net family property" usually begins with a focus on the legislative provisions found in ss.4(1), (2) and (3) of the *Family Law Act, supra*. They read in part as follows:

> **Definitions**
>
> 4. (1) In this Part, …
>
> "net family property" means the value of all the property, except property described in subsection (2), that a spouse owns on the valuation date…
>
> "property" means any interest, present or future, vested or contingent, in real or personal property …
>
> **Excluded property**
>
> (2) The value of the following property that a spouse owns on the valuation date does not form part of the spouse's net family property: …
>
> 3. Damages or a right to damages for personal injuries, nervous shock, mental distress or loss of guidance, care and companionship, or the part of a settlement that represents those damages. …
>
> 5. Property, other than a matrimonial home, into which property referred to in paragraphs 1 to 4 can be traced. …
>
> **Onus of proof re deductions and exclusions**
>
> (3) The onus of proving a deduction under the definition of "net family property" or an exclusion under subsection (2) is on the person claiming it.

[25] In determining whether or not certain types of damages received by a spouse should be included or excluded in the calculation of that spouse's "net family property", a number of authorities have focused primarily, if not exclusively, on whether or not the particular

type of damages should be viewed as falling within the four corners of the express s.4(2)3 exclusion. In that regard:

- It seems generally accepted that certain types of damages received by a spouse definitely should be treated as falling within the express wording of the exclusion set forth in s.4(2)3 of the *Family Law Act, supra*. In particular, "general" damages awarded for pain, suffering and loss of enjoyment of life flowing from a personal injury, and interest awarded in relation to such damages, seem universally viewed as falling within s.4(2)3 exclusion.[34]

- Some authority has interpreted the scope of the s.4(2)3 exclusion broadly, effectively encompassing *all* heads of damages, (including not only general damages, but also damages for income loss and damages for the cost of future care), for which settlement funds were negotiated and received in a personal injury case.[35]

- However, other cases have rejected such a sweeping interpretation of the s.4(2)3 exclusion, and instead have struggled with determinations as to whether it extends beyond general damages and applies to other entitlements flowing from personal injury, such as claims for income loss and disability benefits, particularly in situations where payments for such purposes have been capitalized and reduced to a lump sum receipt. The results have been somewhat inconsistent. Some decisions have held that s.4(2)3 excludes, from the "net family property" calculation, benefits and income loss damages, as well as damages to fund rehabilitation or retraining, received by a spouse due to

[34] See, for example: *Ormerod v. Ormerod* (1991), 34 R.F.L. (3d) 319 (U.F.C.); *Elliot v. Elliot*, [1995] O.J. No. 170 (Gen.Div.), at paragraphs 49-50; *Vanderaa v. Vanderaa,* [1995] O.J. No. 4139 (Gen.Div.), at paragraphs 20-21; and *Bonnick v. Bonnick*, [2016] O.J. No. 410 (S.C.J.), at paragraph 13.

[35] See, for example, *de Champlain v. de Champlain* (1986), 2 R.F.L. (3d) 22 (Ont.H.C.).

injury.[36] Other decisions have held that s.4(2)3 is not broad enough to exclude benefits or damages received by a spouse in lieu of lost income.[37]

[26] Again, the authorities which I have just mentioned have focused on the scope of the s.4(2)3 exclusion; i.e., on whether that provision operates to exclude injury-related funds otherwise thought to fall within the s.4(1) definitions of "property" and "net family property".[38]

[27] However, another line of authority has approached such determinations of inclusion or exclusion from a broader perspective; i.e., by considering the more fundamental or preliminary question of whether the Legislature ever intended injury-related funds received by a spouse to fall within the s.4(1) definitions of "property" and "net family property" in the first place.

[28] Such an approach, outlined and exemplified by the reasoning of Justice Misener in *Pallister v. Pallister* (1990), 29 R.F.L. (3d) 395 (Ont.Gen.Div.), at pp.405-406, emphasizes the following:

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[36] See, for example: *Kelly v. Kelly* (1987), 8 R.F.L. (3d) 212 (Ont.H.C.); *Buske v. Buske* (1988), 63 O.R. (2d) 225 (Dist.Ct.), excluding Worker's Compensation Benefits; *Barkwell v. Barkwell*, an unreported decision of Kovacs J., in the Ontario Superior Court of Justice, dated July 5, 1990, excluding compensation awarded for rehabilitation and retraining; and *Vanderaa v. Vanderaa* (1995), 18 R.F.L. (4th) 393 (Ont.Gen.Div.), excluding long-term disability benefits received in the wake of a motor vehicle accident. (At paragraph 27 of the *Vanderaa* decision, the court also expressed the view, apparently in obiter, that compensation for retraining, rehabilitation or loss of competitive advantage also should be excluded from net family property.)

[37] See, for example: *Shaver v. Shaver* (1991), 37 R.F.L. (3d) 117 (Ont.Unif.Fam.Ct.); *Smith v. Smith*, [1996] O.J. No. 1004(Gen.Div.); and *Kowalski v. Kowalski*, [1997] O.J. No. 4050 (Gen.Div.).

[38] In the case before me, that type of restricted focus is reflected in submissions by respondent counsel which rely, in part, on the Latin maxim *expressio unius est exlusio alterisu*; i.e., "to express one thing is to exclude another". A modern rendering of the same sentiment, (by the third edition of the *Canadian Encyclopedic Digest*, in its chapter on "Statutes", at paragraph 146), is that "mention of one or more things of a particular class in a legislative provision may be regarded as silently excluding all other members of the class". Applying that maxim or sentiment to s.4(2)3, the respondent essentially argues that, since the Legislature went to the trouble of expressly mentioning and thereby effectively listing specific types of damages to which the s.4(2)3 exclusion would apply, (i.e., "damages for personal injuries, nervous shock, mental distress or loss of guidance, care and companionship"), the omission of any similar mention of damages for lost wages, or the cost of future care, should be taken as an indication that the Legislature did not intend s.4(2)3 to exclude such damages from "net family property" calculations. A similar view is expressed in *Bonnick v. Bonnick*, *supra*, at paragraphs 18-19, where Justice Timms regarded s.4(2)3 as exhaustive and decisive, such that any heads of damages not expressly mentioned therein should be treated as included within "net family property".

- On its face, s.4(1) of the *Family Law Act* defines the word “property”, and therefore the scope of “net family property”, (prior to consideration of express legislative exclusions), in the broadest possible way.

- However, interpreting those legislated terms in such a broad literal manner would ignore proper consideration of the scope of the legislation, and the objects it seeks to accomplish. In particular, the *Family Law Act* seeks only to equalize assets which accumulated during the marriage, and then only those assets that can fairly be said to bear some relationship to the partnership that the marriage is said to create. The definitions of “property” and “net family property” in the *Family Law Act* accordingly must be approached in a manner consistent with that underlying scheme of the legislation, and which advances its objects.

- Certain funds and entitlements therefore may fall outside the legislated s.4(1) definitions of “property” and “net family property” if they arise solely because of an illness, disability or injury the spouse suffered, but which was entirely unconnected with any of the incidents of the marriage partnership. Whether the illness, disability or injury was suffered before or during the marriage is of no consequence. Such funds or entitlements fall outside the *Family Law Act* definitions of “property” and “net family property” because they simply have no relationship to the marriage partnership.

- The exclusion of such injury-related funds and entitlements from “net family property” calculations therefore does not depend entirely on the operation of s.4(2)3. In particular, the fact that such injury-related funds and entitlements are not expressly mentioned in s.4(2)3 is not decisive, as the Legislature cannot be expected to exclude assets *from* the s.4(1) definition which were not otherwise intended to fall *within* the s.4(1) definition.

[29] A similar broader and purposive approach to the interpretation of s.4(1) was emphasized and demonstrated in *Hamilton v. Hamilton*, [2005] O.J. No. 3050 (S.C.J.), where Justice Aitken:

- reviewed all the legislative exceptions in s.4(2);

- found they reflected and highlighted a more fundamental “intention of the legislature to keep separate the property of either spouse that bears no relationship to the roles or responsibilities assumed by the spouse during the marriage or to the contributions made by the spouses to the welfare of the family as a whole”, such that the “value of property owned at the valuation date that the spouse has for totally personal reasons, and not through any direct or indirect contribution of the other spouse in any form whatsoever, remains excluded from net family property"; and

- concluded that injury-related disability and pension benefits, whether capitalized or not, fell outside the s.4(1) definitions of "property" and "net family property", (although they needed to be taken into account in the determination of support rights and obligations).[39]

[30] Moreover, that broader and purposive approach to the interpretation of "property" and "net family property" in section 4 of the *Family Law Act* was expressly approved and embraced by our Court of Appeal in *Lowe v. Lowe* (2006), 78 O.R. (3d) 760 (C.A.). Speaking for the panel, Justice Sharpe's comments in that regard included the following, at paragraphs 12-14:

> The definition of "property" in the FLA, s.4, is admittedly broad. … However, the definition of property is not without limits. In *Pallister v. Pallister*, [*supra*], Misener J. acknowledged the apparently "all-encompassing nature of the definition of 'property'", but pointed out that as "property in law is simply a right or a collection of rights" identified by "no single criterion, or even a discrete number of criteria", interpretation is required to contain the category of property within limits appropriate to achieve the purpose and object of the legislation as a whole …
>
> I agree with this approach. It is consistent with the "modern approach to statutory interpretation…
>
> As Misener J. put it …, this purposive and contextual method of statutory interpretation allows "the courts to ensure that the broad definition employed is kept within the bounds of the scope of the Act". In keeping with the "modern" approach to statutory interpretation, s.4 should not be read as including any and every interest, even those bearing no relationship to the marriage partnership, simply because that interest is not specifically excluded. While the scheme of the FLA is to give a broad definition to property and then exclude certain specific types of property, I agree with Misener J. that the definition of property itself must be given meaningful content and that meaningful content imposes limits on the definition of property limits (sic) apart from the specific exclusions. …

[39] See, in particular, *Hamilton v. Hamilton, supra*, at paragraphs 122-125.

[31] Justice Sharpe then went on to indicate the panel's approval of Justice Misener's finding that a spouse's disability and pension benefits did not fall within the s.4 definition of "property" in the *Family Law Act*, on the ground that the acquisition of that property bore no relationship to the marriage partnership. In particular:

> The disability pension bore no relationship to the marriage partnership but rather arose because of a disability that impeded the recipient's capacity to earn a livelihood. It followed … that the stream of benefits to be received post separation should not be capitalized and included as family property for purposes of equalization. The benefits would be taken into consideration with respect to spousal support, but they fell outside the category of "property" and could be distinguished from a pension earned as part of a spouse's remuneration during the marriage.[40]

[32] The panel also expressly approved Justice Aitken's finding, in *Hamilton v. Hamilton, supra*, that a spouse's entitlement to disability benefits also fell "outside the concept of net family property". That was because such an entitlement is based on a "personal characteristic or condition of a spouse, namely that spouse's state of health and impairment", and is "not payable to a spouse due to the joint contributions of both spouses in one form or other to the marriage partnership". Funds representing income replacement were more appropriately treated as income from employment, for the purpose of support determinations.[41]

[33] For the sake of clarity and predictability, the panel also expressly indicated that such disability entitlements should be approached the same way, in relation to s.4 of the *Family Law Act*, whether they were calculated strictly in terms of lost income or as compensation for impairment of earning capacity.[42]

[34] In my view, the authorities which I have reviewed therefore lead to the following conclusions, in relation to whether some or all of the remaining settlement funds and structured settlement entitlements retained by the applicant on the date of separation should be included within his "net family property" for the purpose of equalization calculations:

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[40] *Lowe v. Lowe, supra*, at paragraph 15.

[41] Ibid., at paragraphs 16-17.

[42] Ibid., at paragraph 24.

a. The portion of the remaining non-structured settlement funds relating to general damages should be excluded. As noted above, it seems settled law that damages awarded for pain, suffering and loss of enjoyment of life flowing from a personal injury, and interest awarded in relation to such damages, are viewed as clearly falling within s.4(2)3 exclusion. Nor did the respondent dispute such a conclusion in this case. The portion of the remaining settlement funds relating to general damages accordingly do not form part of the applicant's net family property.

b. The portion of the remaining non-structured settlement funds relating to income loss, (i.e., compensation for the plaintiff's inability or reduced capacity to earn a livelihood), and any portion of the structured settlement entitlements relating to income replacement benefits, also should be excluded. This is not because they fall within the s.4(2)3 exclusion, but because they fall outside the concept of "property" and therefore "net family property", as defined by s.4(1) of the *Family Law Act*. In particular, those funds did not stem from the marriage partnership, as they bear no relationship to the roles or responsibilities assumed by the spouses during marriage, or to the contributions made by the spouses to the welfare of the family as a whole. They instead flow from an entirely personal accident-related physical impairment of the applicant that reduced his capacity to earn a livelihood. The funds in question accordingly do not form part of the applicant's net family property.

c. The portion of the remaining non-structured settlement funds relating to the cost of future care, and any portion of the structured settlement entitlements relating to the benefits addressing various aspects of future care and rehabilitation needs of the applicant, also should be excluded from the applicant's net family property. As noted above, there are authorities which support such a conclusion by viewing funds earmarked for such matters as rehabilitation and retraining as property excluded pursuant to s.4(2)3.[43] I nevertheless think it more appropriate to view them instead as another type of asset or entitlement not falling within the s.4(1) definitions of "property" or "net family property", as they are entirely personal to the plaintiff and once again do not stem from the marriage partnership, roles or responsibilities assumed by the spouses during marriage, or contributions made by the spouses to the welfare of the family as a whole. In particular, the funds were received to compensate the applicant for the anticipated expense associated with treatment, support and

[43] Again, see: *Barkwell v. Barkwell, supra*; and *Vanderaa v. Vanderaa, supra*.

rehabilitation required as a result of his injuries and resulting limitations. They therefore inherently represent a very personal asset not meant to be shared with others. However, whether one views the funds as excluded by s.4(2)3, or falling outside the ambit of s.4(1), the result is the same. On either view, the funds in question do not form part of the applicant's net family property.

[35] In the result, all components of the remaining non-structured settlement funds should be excluded from the applicant's "net family property", for the purpose of equalization calculations. The same is true of the applicant's structured settlement entitlements, insofar as they reflect income replacement and future care cost accident benefits.[44]

Party incomes for support calculations – starting points

[36] In this case, both counsel indicated at various points in the trial that the incomes to be used for support calculations were relatively straightforward, in that they generally were to be those set forth in the parties' tax returns subject to the specific adjustment issues I was being asked to decide.

[37] Moreover, apart from what I have to say below about allow about certain portions of the settlement proceeds received by the applicant being treated as income if and when they are drawn upon by the applicant, I independently see little to suggest that the starting point for income determination, for both parties, generally should be anything other than the incomes indicated by their respective tax returns for 2015, (the most recent available at the time of trial).[45]

[38] However, those "starting point" incomes also may require further adjustment in accordance with the additional determinations to be made in that regard. In particular:

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[44] In my view, this makes it unnecessary to determine valuation of the structured settlement entitlements as of the date of separation, (even though the parties were unable to reach an agreement in that regard).

[45] In saying that, I am not intending to negate in any way the possibility if not likelihood that certain indicated income in the parties' respective tax returns might require "grossing up" pursuant to s.19(h) of the *Child Support Guidelines*, O.Reg. 391/97 ("the *Guidelines*"); e.g., in situations where either party "derives a significant portion of income from dividends, capital gains or other sources that are taxed at a lower rate than employment or business income or that are exempt from tax". Such relatively straightforward "grossing up" imputation of income also did not seem to be a source of contention in this litigation. The parties instead were focused on the specific income issues I was asked to decide, and in particular, on whether certain amounts, (such as the non-taxable payments received by the applicant through his structured settlement), should be included in income at all for the purpose of support calculations.

- The respondent takes the position that the applicant’s stated income should be increased by some or all of the funds he receives from his structured settlement.

- The applicant takes the position that additional income should be imputed to the respondent, on the basis she has been and/or is intentionally under-employed.

[39] Subject to such adjustments, however, I find that the starting points for determination of the parties’ respective incomes, for support calculation purposes, generally are those indicated in their respective 2015 income tax returns.

Applicant income – structured settlement

[40] As demonstrated in the situation before me, settlement funds arising from a personal injury may be paid out, in whole or in part, through different means. In particular:

- Some settlement funds may be distributed through one or more lump sums, to be used by an injured spouse as he or she sees fit.

- However, some settlement funds may be paid through the vehicle of a “structured settlement”, which may entail the purchase of an annuity that will make tax-free payments to the injured spouse over time to address various needs, including loss of wages and the cost of future care. Such an arrangement not only avoids payment of income tax, but also relieves the injured spouse from having to manage the large sum needed to provide for his or her future needs.[46]

[41] For the reasons outlined above, courts have treated entitlements to income replacement, whether capitalized or not, as income rather than property, and therefore as entitlements not taken into account when determining the “net family property” of a spouse.

[42] However, the corollary is that they should and will be taken into account *as* income, available to the spouse after separation, when making support determinations. For example, this was emphasized in *Hamilton v. Hamilton, supra*, at paragraph 124:

> All of these potential income sources following the valuation date will be relevant to the issue of support, just as the earned income of the parties will be relevant to the issue of support.

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[46] See *Rivard v. Hankiewicz, supra*, at paragraph 31.

[43] Similarly, at paragraph 24 of *Lowe v. Lowe, supra*, our Court of Appeal emphasized that income replacement entitlements excluded from family property "are more appropriately treated on the same basis as income from employment" for the purpose of support.

[44] Consistent with that approach, our courts also have held that the portion of receipts flowing from a structured settlement which relate to lost income falls within the definition of "income" for the purposes of support calculation.[47]

[45] In doing so, our courts nevertheless also simultaneously have emphasized that the portion of receipts from a structured settlement relating to the cost of future care should *not* be considered income for support calculation purposes.[48]

[46] Such an approach is consistent with the rationale, noted above, for excluding future care cost entitlements from determinations of "property" and "net family property". In particular, as future care cost entitlements flow from injury-related needs, they are entirely personal to the recipient spouse, and the underlying legislation is not interpreted or applied so as to enable the non-recipient spouse to divert or share in such entitlements directly or indirectly.[49]

[47] Moreover, such receipts are intended to provide reimbursement for injury-related care expenditures, and reimbursement inherently is not income. In particular, as the receipt is offset by an associated need and expense, the "net" outcome does not leave the recipient spouse with any enhanced ability to pay support.[50]

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[47] See, for example: *M.K. v. R.A.S.*, [2004] B.C.J. No. 2930 (S.C.); *Rivard v. Hankiewicz* (2007), 38 R.F.L. (6th) 189 (O.C.J.); and *Bonnick v. Bonnick, supra*. This is so even if the Canada Revenue Agency regards such annuity payments as non-taxable receipts, which accordingly need not and do not appear as income in a spouse's formal tax return. Through the legislated mechanism of s.19(1)(h) of the federal *Guidelines*, courts are not only able to regard such payments as income for support determination purposes, but also "gross up" such payments to make them the equivalent of taxable income.

[48] Ibid.

[49] Again, see the analysis of Justice Wedge in *M.K. v. R.A.S., supra*, which has been adopted and followed by the courts of Ontario in cases such as *Rivard v. Hankiewicz, supra*, at paragraphs 32 and 33, and *Bonnick v. Bonnick, supra*, at paragraph 17.

[50] In my view, courts should be loathe to second-guess earlier objective determinations, (produced by litigation outcomes or arm's length negotiations), that receipts earmarked for future care costs will be needed or used in that manner. Such an approach inevitably would foster cynicism about the legitimacy of future care cost claims in

[48] Furthermore, the fact that the *Guidelines* allow courts to use discretion in imputing income to those who receive money from tax-exempt sources indicates that the framers of the Guidelines anticipated that some, but not all, of the tax-free funds received by spouses should be considered "income" under the guidelines.[51]

[49] In relation to funds drawn from a structured settlement, differential treatment of the receipts therefore is a possibility for the purpose of support determinations; i.e., with a portion of such receipts being treated as income, while other portions are not. However, there generally must be a demonstrable rationale for such a differentiation. In cases where a payor receives non-taxable settlement payments as a result of a personal injury, and there is no evidence of allocation of such payments among the various heads of damages, courts have imputed the entire amount of such receipts as income pursuant to the *Guidelines*.[52]

[50] In my view, the above principles dictate certain conclusions when applied to the case before me.

[51] First, for the purposes of support calculation, the portion of the non-structured settlement funds relating to income/wage loss, (as distinct from the remaining portions of the non-structured settlement funds relating to general damages and future care costs), should be included in the income of the applicant if, when and as that portion is drawn upon by the applicant after the parties' separation. In that regard:

- Practical implementation of that direction requires the applicant to provide the respondent with ongoing disclosure to confirm whether there have been such draws, and if so, their timing and quantification.

- Practical implementation of that direction also requires effective quantification and ongoing segregation *of* that portion of the remaining non-structured settlement funds relating to income/wage loss; i.e., to make it clear to all concerned whether, when and how the applicant *is* drawing upon that particular portion of the remaining non-structured settlement funds. As noted above, (in footnote 4), the parties' statement of agreed facts did not expressly extend to any confirmed apportionment of the remaining non-structured settlement funds

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the context of personal injury litigation, and effectively encourage re-litigation of such matters in the context of subsequent matrimonial litigation.

[51] See s.19(1)(h) of the *Guidelines*, and *Rivard v. Hankiewicz, supra*, at paragraph 37.

[52] See, for example: *Parkes v. Mones*, [2001] S.J. No. 777 (Q.B.); and *Rivard v. Hankiewicz, supra*, at paragraph 34.

between general damages, lost wages and future care costs. Nor was I presented with any evidence that would facilitate such a determination. However, it seems that may reflect a further unstated agreement between the parties, as the written submissions of both parties seemed premised on a joint assumption that the percentage apportionments applicable to the $571,400 in non-structured settlement funds originally received by the applicant should be extended and applied to the $309,109.42 in non-structured settlement funds remaining as of the date of the parties' separation, (and perhaps thereafter). Rather than risk interfering with what may be a sensible agreement by the parties in that regard, I will instead direct that the necessary apportionment and segregation of the remaining non-structured settlement funds may be submitted to the court for determination, with appropriate evidence, if and as necessary.

[52] Second, for the purpose of support calculation, the portion of monthly payments received by the applicant from the structured settlement funds relating to income replacement benefits, (as distinct from the remaining portion of such monthly payments relating to care, treatment and rehabilitation of the applicant), also should be included in the income of the applicant.[53] In that regard:

- Practical implementation of that direction similarly requires the applicant to provide the respondent with ongoing disclosure to confirm the existence, timing and quantum of such receipts.

- Practical implementation of that direction also requires effective apportionment of structured settlement payments to differentiate between receipts relating to income replacement and receipts relating to care, treatment and rehabilitation of the applicant, (i.e., future care costs). However, I similarly was presented with no agreement and little evidence in that regard. As noted above, in the absence of such allocation evidence, some courts have resolved such questions by treating the entire amount of such receipts as income replacement. However, I think that would be an arbitrary and unjust result in this case, as it seems quite clear, based on the evidence I do have, that most and perhaps all of the structured settlement was intended to provide payments in lieu of accident benefits relating to the cost of future care.[54] Moreover, counsel indicated at

[53] While that conclusion is supported by the authorities I have mentioned, treating such receipts as income available to assist in the applicant's support of his former spouse and children is consistent with the applicant's own acknowledged practice, (noted above), in relation to such receipts during the course of the marriage.

[54] See, for example, the content of the "Insurer's Offer to Settle Benefits" included with the documents found at Tab 1 of Exhibit 4. That document suggests that the applicant was offered "NIL" for all past and future income

trial that such evidence likely could be obtained from the applicant's personal injury lawyer if necessary. In the circumstances, I therefore will direct that the necessary apportionment of the structured settlement receipts, (i.e., between those representing income replacement benefits and those representing benefits relating to the applicant's future care), also may be submitted to the court for determination, with appropriate evidence, if and as necessary.

Respondent income – imputation

[53] As noted above, the respondent's employment by FAG came to an end in September of 2013, when she was terminated for cause. My further findings in that regard, based on the evidence before me, include the following:

- During the summer of 2013, and especially when she had the couple's three children in her care on a full time basis, the respondent was pushed to the point of complete exhaustion while trying to keep up with all of her parenting and employment responsibilities. She regularly would look after the children during the day, entrust them to the overnight care of her mother at 10:30pm, (after driving to her mother's home in Dublin, Ontario), work straight midnight shifts from 11pm to 7:10am, return to her mother's home in Dublin to sleep for an hour before her mother went to work, and then get up with the children to resume her parenting duties.

- That demanding schedule would continue for days on end, during the alternating weeks when the respondent had care of the children, and frequently would require the respondent to go completely without sleep for very extended periods. Apart from the limited gratuitous assistance her mother was able to provide, (outside the hours of the mother's own full time employment), the respondent had no further access to child care during her non-working hours. In particular, she had no helpful friends nearby, in her new Kitchener surroundings, and her financial situation prevented her from incurring the additional expense, (approximately $500 per week), of hiring someone to look after the three children.

- Over time, growing sleep deprivation and exhaustion began to interfere substantially with the respondent's job performance. She repeatedly was falling

replacement benefits, which in turn suggests that all remaining benefits were related to various aspects of future care. However, it obviously would be helpful to receive confirmation that the final settlement reflected and implemented the terms of the insurer's offer in that regard.

asleep at work, (e.g., in her car during breaks, and on the toilet during trips to the washroom), and frequently failed to wake and return to her machine. Supervisors then would notice that she was missing from her machine. Warnings were given to the respondent, both verbally and in writing, leading to at least one disciplinary meeting wherein the respondent was encouraged to seek counselling and medical assistance in relation to her sleep issues, and was informed that further performance issues would result in her termination. While one supervisor was somewhat tolerant and supportive, another undertook active efforts to monitor the respondent's work performance. That in turn led to increased friction when the respondent complained about the manner in which she was being followed and investigated.

- Matters at FAG then came to a head in early September of 2013, when the investigating supervisor found the respondent "out cold" in her parked car, down the street from the workplace, with no memory of how she had got there. The respondent was then terminated for cause. Although a union representative suggested filing a grievance in relation to the dismissal, the respondent did not feel up to seeing that process through to completion.

[54] In the wake of her termination from FAG, the respondent struggled to maintain her financial position by depleting her somewhat modest assets[55], and by regaining income through other employment, (found through the use of job banks, inquiries made through Conestoga College, and review of Kijiji ads), all while keeping up with her parenting duties and working around the times when the children would be in her care. In that regard:

- The respondent initially expanded her hours with Timmermans for the remainder of its 2013 seasonal operations.

[55] As noted above, the respondent had received $18,600 in net sale proceeds from the matrimonial home. She also liquidated a TFSA investment worth $14,708.41, and was able to sell the uninsured family vehicle left in her possession for $3,600 after months of listing it for a higher price on Kijiji. However, as emphasized by the applicant, she was incurring unusual expenses for moving, substantial storage of belongings removed from the matrimonial home to complete its sale, car rental payments, as well as other costs of transitioning to a separate household, and those expenses were exceeding her income. Moreover, the respondent had been hoping to direct her remaining funds towards the purchase of a new home. However, she then drew even more heavily on her limited assets to help her and the children "survive" in the wake of her termination from FAG. By December of 2013, her assets had been depleted to the point where she qualified for social assistance from Ontario Works.

- The respondent then took up employment with a home health service in Kitchener, commuting back and forth from Stratford in an aged 2002 vehicle provided by a boyfriend.

- In June of 2014, through the efforts of a placement agency, the respondent was able to resume more remunerative but sporadic employment as a part time machine operator with another Stratford manufacturer, and ended her commute to Kitchener. However, that new work came to an end several months later when the employer no longer required temporary employees.

- From September to the time of trial, the respondent has maintained seasonal daytime employment as a server-baker with a local restaurant; a job that generally accommodates and works well with her child care responsibilities. That employment has been supplemented by 15 months of work as a dietary aid at a Stratford retirement residence, (30-35 hours per week, frequently during the night so as to maximize the respondent's ability to care for her children), and by the respondent serving as a home support worker several nights a week for an elderly gentleman in St Marys. In contrast to her time at FAG, when the respondent had little control over scheduling, the respondent now has the ability to concentrate night work on week-ends, when more child care options are available, making it easier for her to cope with having the children pursuant to the "alternating weeks" arrangement.

[55] In the result, there has never been a period when the respondent has not had a job.

[56] However, individually and in combination, the "replacement" jobs described above, (for wages ranging from server and minimum wage to $15 per hour), have not generated annual income equal to what the respondent previously had been earning at FAG, (where she was putting in 40 hour weeks, for $17-18 an hour). While the applicant has been working with Conestoga College to attain a GED certificate, (i.e., high school equivalence), and to formalize her personal support worker qualifications, (which will increase her income), those efforts and plans have been complicated by her necessary ongoing employment and additional challenges she suffers as a person afflicted with adult ADHD. In the meantime, her income has been supplemented by social assistance in recent years, (through Ontario Works), in order to make ends meet.

[57] The applicant takes the position that the respondent's loss of her job with FAG, and her inability so far to obtain employment generating the same level of income, is a self-inflicted financial injury.

[58] In that regard, the applicant relies on the respondent's failings which resulted in dismissal. It was also argued that the respondent clearly would have been in a better financial position had she simply remained on long term disability benefits from FAG,

thereby avoiding the events leading to dismissal, instead of returning to work after her shoulder surgery.

[59] For such reasons, the appellant submits that the resulting shortfall the respondent's income, which arguably could have been avoided, should be offset by an appropriate amount of imputed income for the purpose of support calculations.

[60] Relevant legislative provisions in that regard include s.19(1) of the *Child Support Guidelines*, *supra*, which confirms the general ability of the court to "impute such amount of income to a parent or spouse as it considers appropriate in the circumstances". Those circumstances are not exhaustively defined in the provisions, although numerous examples are given.

[61] For present purposes, the most relevant example is that set forth in s.19(1)(a) of the *Guidelines*, which contemplates situations described as follows:

> 19.(1) … (a) the parent or spouse is intentionally under-employed or unemployed, other than where the under-employment or unemployment is required by the needs of any child or by the reasonable educational or health needs of the parent or spouse. …

[62] In *Drygala v. Pauli* (2002), 61 O.R. (3d) 711 (C.A.), our Court of Appeal indicated that imputation of income in such situations should be approached in a three-stage analysis, with the first two stages addressing whether income should be imputed, and the third stage addressing, if necessary, appropriate quantification of imputed income. In particular:

i. First, the court should determine whether or not the spouse in question is intentionally under-employed or unemployed. In this context, "intentionally" means a voluntary act; i.e., where the parent chooses not to work, or to earn less than he or she is capable of earning. Existence of such an intention does not require a finding of bad faith, or a specific intent to evade or secure child support. A parent is intentionally under-employed within the meaning of s.19(1)(a) of the *Guidelines* if he or she earns less than he or she is capable of earning, having regard to all the circumstances. He or she is intentionally unemployed, within the meaning of s.19(1)(a) of the *Guidelines*, when he or she chooses not to work when capable of earning an income. However, the provisions do not contemplate situations in which, through no fault or act of a parent, he or she is laid off, terminated, or given reduced hours of work.

ii. Second, if the court finds intentional under-employment or unemployment, in the sense required, the court must then determine whether that was and/or is required by virtue of the parent's reasonable educational needs, the needs of a child, or reasonable health needs.

iii. Third, if the answer to the first stage question is "yes", and the answer to the second stage question is "no", the court normally moves on to determination of the income that should be imputed in the circumstances.

[63] The onus is on the party requesting imputation of income to establish an evidentiary basis for it.[56]

[64] However, the determination to impute income is always discretionary, and based on the circumstances of each case. The reasonableness of the relevant party's behaviour, and the extent to which he or she created or failed to guard against his or her financial hardship, will be central to the court's analysis. In particular, parents have an obligation to act responsibly when making decisions which may affect, directly or indirectly, their ability to earn income required to support their children. As a general rule, a parent cannot avoid or secure child support by a self-induced reduction in his or her income.[57]

[65] Courts nevertheless frequently have struggled with determinations as to whether a parent is the victim of unfortunate financial circumstances, or the author of his or her own misfortune.

[66] This seems particularly true in situations where a parent may not have taken steps to actively resign from certain employment, but where he or she nevertheless arguably created and/or controlled circumstances in which employment was terminated or otherwise rendered unobtainable.

[67] As noted above, some types of specified conscious decisions, (e.g., reasonable decisions in relation to education, child care or health concerns), may prevent or restrict employment but not warrant imputation of income. More generally, however, exercise of the court's discretion to impute income, even in cases of demonstrable under-employment or unemployment, will turn on the court's overall assessment of the reasonableness of the parent's decisions and actions in relation to their income.[58]

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[56] See, for example, *Homsi v. Zaya*, [2009] O.J. No. 1552 (C.A.), at paragraph 28.

[57] See, for example: *DePace v. Michienzi*, [2000] O.J. No. 453 (S.C.J.); *Weir v. Therrien*, [2001] O.J. No. 2612 (S.C.J.); *Trottier v. Prud'Homme*, [2012] O.J. No. 4826 (O.C.J.); and *Rogers v. Rogers*, [2013] O.J. No. 1616 (S.C.J.).

[58] See, for example, *Scott v. Chenier*, [2015] O.J. No. 6693 (S.C.J.), at paragraph 48(7), and the authorities cited therein.

[68] Our courts also have expressed reluctance to impute income where under-employment or unemployment arises through mix-up, honest mistake, bad luck, or isolated errors in judgment. [59]

[69] Towards the other end of the spectrum, however, courts frequently have imputed income where a parent has made conscious and unreasonable decisions to engage in improper, reckless, anti-social and/or illegal behaviour, where the parent knew or ought to have known that engaging in such activity would render him or her unacceptable or unavailable for employment. Examples include the following:

- a drug conviction resulting in loss of employment as a police officer;[60]
- assault of a co-worker resulting in criminal conviction;[61]
- being fired for theft from an employer, and doing personal work on company time;[62]
- successive criminal convictions for impaired driving resulting in loss of employment as a parole officer;[63]
- accumulation of substantial but repeatedly ignored driving-related fines, licence suspensions and convictions, as well as criminal convictions and incarceration for uttering threats, harassment and breach of recognizance;[64]
- repeated loss of successive jobs through conflicts with co-workers, disputes with bosses, tardiness for work, and loss of a driver's licence through unpaid fines and speeding tickets.[65]

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[59] See, for example, *Rogers v. Rogers, supra*, at paragraph 59.

[60] *Myatt v. Myatt* (1993), 45 R.F.L. (3d) 45 (B.C.S.C.).

[61] *Luckey v. Luckey*, [1996] O.J. No.1960 (Gen.Div.).

[62] *Baldini v. Baldini*, [1996] B.C.J. No. 1426 (S.C.).

[63] *Costello v. Costello*, [2012] O.J. No. 2977 (O.C.J.).

[64] *Rogers v. Rogers, supra*.

[65] *Scott v. Chenier, supra*.

[70] In this case, the applicant submits that the respondent's loss of her previous employment, through termination for cause, was a similar self-inflicted financial injury warranting imputation of income for the purpose of support determinations.

[71] I disagree.

[72] In saying that, I accept that the respondent is "under-employed", in the sense contemplated by the legislation and the first stage of the required analysis set forth in *Drygala v. Pauli*, *supra*. In particular, through the many years of her employment with FAG, the respondent demonstrated that she is capable of earning a higher level of income than she has been earning in the years since that job came to an end.

[73] However, in my view, the applicant has not discharged his onus of proving that the respondent's under-employment is *intentional*, in the sense contemplated by the same first stage of the required analysis.

[74] In that regard, I begin by noting my express rejection of the suggestion that the respondent's job termination was an outcome deliberately engineered by her, as part of some long-standing grand design. In particular, I am not prepared to draw such a conclusion, as the applicant and his mother apparently did, based on a fleeting emotional comment by the respondent, almost 10 months before her termination from FAG, expressing worry about the financial consequences of marriage breakdown and the possibility of her winding up as a single mother "on welfare".

[75] In my view, the suggestion of the respondent deliberately pursuing such a goal defies logic and common sense, and is quite at odds with the evidence. Without limiting the generality of the foregoing:

- In terms of self-interest, the respondent self-evidently had nothing to gain and much to lose by deliberately throwing away the certainty, independence and benefits of lucrative employment in exchange for the much lower standard of living commensurate with dependency on social assistance, and/or an uncertain hope that she might eventually secure support from the applicant that would completely make up for her lost income from FAG.

- If the respondent did not want to work, there was a much simpler, certain and financially more attractive path available than returning to FAG, feigning poor job performance over an extended period, and trying to orchestrate her own termination for cause, so as to leave her with no work responsibility but also no income. She merely had to stay at home, (in accordance with the preference of her sympathetic shoulder surgeon), and continue collecting the long term disability benefits she already was receiving.

- Giving up on work, in furtherance of a desire to live on social assistance and/or to maximize dependency on the applicant, is simply not what the respondent has done. To the contrary, since her termination, the respondent continuously has sought and maintained alternate employment, often holding down two jobs at once despite challenges posed by commuting, scheduling and complications with child care. At the same time, she has been pursuing steps, (albeit slowly because of such challenges), to improve her education and professional qualifications, all with a view to increasing her income and ending her dependency.

[76] In short, this was not a case where a spouse made a deliberate and determined decision to end his or her more lucrative employment.

[77] To the contrary, in my view this case involves a situation where the conduct and failings of the respondent resulted in the termination of employment she did *not* wish to lose.

[78] As noted above, the mere existence of such failings, resulting in job loss, is not sufficient by itself to warrant a finding of intentional under-employment justifying imputation of income. The court's discretion must instead be exercised with overall regard to the reasonableness of the respondent's behaviour, and the extent to which she reasonably could have guarded against her termination for cause.

[79] In this case, I am inclined to regard the respondent's loss of her job at FAG as something more akin to cases involving honest mistake, bad luck and isolated errors in judgment, (having regard to the respondent's entire history of employment), than cases involving engagement in improper, reckless, anti-social and/or illegal behaviour leading to dismissal.

[80] With the benefit of perfect hindsight, it is easy to see that the respondent lacked the physical stamina, financial resources and childcare facilities required to manage a return to her past pattern of full time employment, while she was not yet fully recovered from her shoulder injury, and while she was dealing with the novel process of transitioning to life as a single parent.

[81] With the benefit of the same perfect hindsight, one can easily suggest that the respondent ultimately may have retained her position with FAG, or income from that employment, had she simply remained on long term disability; i.e., had she not attempted a return to full time work before ensuring that adequate financial arrangements and childcare resources were in place to allow her sufficient opportunities for pacing and rest.

[82] However, the question is not whether the respondent's conduct was imperfect, in light of all that is now known, but on whether the respondent's conduct was unreasonable at the time. The onus effectively is on the applicant to show that it was, (as he is the one

requesting the imputation of income), and I am not satisfied that he has done so on a balance of probabilities.

[83] The respondent committed no crime or provincial offence, and apart from performing inadequately for her employer because of sleep deprivation, the respondent inflicted harm or deprivation on no one but herself and those dependent on her income from FAG. Her situation accordingly is far removed from those addressed in authorities relied upon by the applicant.

[84] The respondent eventually may have failed in her struggle to keep up with all of her responsibilities in the wake of the parties' marriage breakdown, but in my view it was not for lack of trying.

[85] Having regard to all the circumstances, I therefore am not inclined to characterize the respondent's situation as one involving "intentional" underemployment sufficient to warrant moving beyond the first stage of the analysis set forth in *Drygala v. Pauli, supra*.

[86] In the alternative, it seems to me that the respondent's situation of under-employment effectively was brought about by the needs of her children, within the meaning of s.19(1)(a) of the *Guidelines* and the second stage of the *Drygala v. Pauli* analysis. In particular, the respondent was driven to exhaustion by her need to personally look after the children while they were in her care, while simultaneously addressing the consequences of her marriage breakdown and maintaining full time employment, when no other childcare options reasonably were available.

[87] On either view, in the exercise of my discretion I find that no income should be imputed to the respondent.

Respondent entitlement to spousal support

[88] The court's ability to grant spousal support in the context of a divorce has been confirmed by Parliament in s.15.2(1) of the *Divorce Act*, R.S.C. 1985, c.3, which reads as follows:

> 15.2 (1) A court of competent jurisdiction may, on application by either or both spouses, make an order requiring a spouse to secure or pay, or to secure or pay, such lump sum or periodic sums, or such lump sum and periodic sums, as the court thinks reasonable for the support of the other spouse.

[89] Pursuant to s.15.2(3) of the *Divorce Act, supra*, any such support order may be made for a definite or indefinite period or until a specified event occurs, and may be subject to whatever terms, conditions or restrictions as the court thinks "fit and just".

[90] Pursuant to s.15.2(4) of the *Divorce Act, supra*, in making a support order the court must take into consideration “the condition, means, needs and other circumstances of each spouse”, including:

a. the length of time the spouses cohabited;

b. the functions performed by each spouse during cohabitation; and

c. any order, agreement or arrangement relating to support of either spouse.

[91] Pursuant to s.15.2(5) of the *Divorce Act, supra*, any misconduct of a spouse, in relation the marriage, is not to be considered in the making of orders for spousal support.

[92] Parliament has outlined the legislated objectives underlying spousal support in the context of a divorce in s.15.2(6) of the *Divorce Act, supra*, which indicates that any order providing for the support of a spouse should:

a. recognize any economic advantages or disadvantages to the spouses arising from the marriage or its breakdown;

b. apportion between the spouses any financial consequences arising from the care of any child of the marriage over and above any obligation for the support of any child of the marriage;

c. relieve any economic hardship of the spouses arising from the breakdown of the marriage; and

d. in so far as practicable, promote the economic self-sufficiency of each spouse within a reasonable period of time.

[93] The Legislature of Ontario also obviously has addressed spousal support, through the exercise of its jurisdiction over property and civil rights. In that regard:

- Section 30 of the *Family Law Act, supra*, confirms that “Every spouse has an obligation to provide support for himself or herself and for the other spouse, in accordance with need, to the extent that he or she is capable of doing so.”

- The purposes of a spousal support order are set forth in s.33(8) of the *Family Law Act, supra*, which dictates that an order for the support of a spouse should:

    - recognize the spouse’s contribution to the relationship and the economic consequences of the relationship for the spouse;

    - share the economic burden of child support equitably;

  - make fair provision to assist the spouse to become able to contribute to his or her own support; and

  - relieve financial hardship, (to the extent that has not already been achieved by orders relating to family property, and the matrimonial home in particular).

- Pursuant to s.30(9) of the *Family Law Act, supra*, a court determining the amount and duration (if any) of spousal support "shall consider all the circumstances of the parties". While I have regard to the entire non-exhaustive list of such considerations also set forth in s.30(9), they include the following:

  - the current assets and means of each party, and those which each is likely to have in the future;

  - the capacity of a dependent party to contribute to his or her own support, and the capacity of the other party to provide support;

  - the parties' ages, and their respective physical and mental health;

  - the needs of the dependant party, in determining which regard must be had to the accustomed standard of living while the parties were residing together;

  - measures available for the dependent party to become self-supporting, as well as the time and cost involved in the dependent spouse taking such measures;

  - the desirability of either party remaining at home to care for a child;

  - any contribution by the dependent spouse to realization of the other spouse's career potential;

  - the length of time spouses cohabited;

  - the effect of responsibilities assumed during cohabitation on a spouse's earning capacity;

  - whether a spouse has undertaken the care of a child under the age of eighteen;

  - any housekeeping, child care or other domestic services performed by the spouse for the family, (as if the spouse were devoting the time spent in performing that service in remunerative employment and were contributing the earning's to the family's support); and

- the effect on a spouse's earnings and career development of the responsibility of caring for a child.

- Pursuant to s.30(10) of the *Family Law Act, supra*, the obligation to provide support for a spouse exists without regard to the conduct of either spouse, (although the court, in determining the amount of support, may have regard to a course of conduct "that is so unconscionable as to constitute an obvious and gross repudiation of the relationship".

[94] These various legislative provisions governing determination of spousal support obligations have been the subject of authoritative judicial consideration, in authorities such as *Bracklow v. Bracklow*, [1999] 1 S.C.R. 420, which have emphasized principles that include the following:

- There is no general presumption of post-marital spousal support.[66]

- While the stated legislative objectives underlying spousal support are the starting point for determining such disputes, no single objective is paramount. All of them must be considered, along with the factors outlined in the legislation, (which include non-compensatory factors, such as need and means). There are no hard and fast rules. The judge instead must look at all of the factors in light of the stipulated objectives of support, and exercise his or her discretion in a manner that equitably alleviates the adverse consequences of marriage breakdown, while striking the balance that best achieves justice in the particular case.[67]

- Spousal support may be warranted not only for contractual and/or compensatory reasons, (i.e., because of express or employed agreements, and/or to make up for losses the marriage or marriage break-up caused that would not have been suffered but for the marriage), but also for non-compensatory reasons. In particular, spouses may have an obligation to meet or contribute to the needs of their former partners where they have the capacity to

[66] *Bracklow v. Bracklow, supra*, at paragraph 20.

[67] Ibid., at paragraphs 35-37.

pay, even in the absence of a contractual or compensatory obligation, and need alone may be enough.[68]

[95] In this case, many aspects of the evidence relating to spousal support entitlement were conflicting.

[96] For example, the applicant testified that, in his opinion, the parties shared domestic responsibilities and cared equally for the children during the course of the marriage; e.g., by sharing responsibilities in relation to matters such as house cleaning, as well as taking the children to and from school, extra-curricular activities, and medical appointments. However, the respondent asserted that she had assumed a considerable portion of responsibility for domestic tasks; e.g., by assuming shared responsibility for cleaning, all responsibility for cooking, laundry and grocery shopping, and responsibility for most or all of the yard work and snow removal while the applicant was recovering from his injuries. Moreover, her evidence indicated that she effectively had served as primary caregiver to the children; e.g., by structuring her work and sleep schedule to look after most of the children's needs before and after school, and by assuming most of the scheduling, transportation and attendance associated with the children's health care and extracurricular activities, (such as horseback riding).

[97] I do not doubt that both parents love their children and contributed in various ways to parenting and domestic responsibilities over the course of the marriage.

[98] However, I generally prefer and accept the evidence of the respondent concerning her effective assumption of a greater share of such responsibilities. My reasons for coming to that conclusion include the following:

- The applicant clearly sustained significant physical injuries in his motor vehicle accident. They were sufficient to render him incapable of working outside the home for many years. They initially prevented him from doing even basic tasks for himself, (like rising on his own), necessitated a formal paid caregiver for the applicant, (a role fulfilled by the respondent for a time), and sometimes required the hiring of a babysitter to look after Kaylin even when the applicant was at home. Not surprisingly, the applicant spent a notable portion of his time off work attending medical appointments, and participating in various forms of treatment and therapy. Moreover, the consequences of the injuries never vanished completely, and eventually forced the applicant to once again give up work entirely. In my view, the clear implication is that the applicant had and has

[68] Ibid., at paragraphs 37, 41-43, and 49.

ongoing physical limitations that inevitably would have compromised his ability to play as active a role in domestic chores and parenting as the respondent.[69]

- The respondent took a leave of absence to care for the applicant in the wake of the accident, as well as sustained maternity leaves in relation to each of her pregnancies, during which she was able to provide care not only for the newborn but also for any older child or children who had arrived by that point. Combined with the applicant's physical limitations, I think that inevitably would have fostered a certain degree of dependency by the applicant on the respondent, as well as the children's primary dependency on their mother during their younger years as they looked to the available and able-bodied parent to address many or most of their needs. Moreover, the routines fostered by that pattern of dependency likely would have carried forward into later years.

- Such a pattern of dependency also would have been reinforced and sustained, in relation to the children, by the parties' practice of alternating their work shifts as much as possible, in an effort to ensure that at least one parent was at home with the children. In particular, the respondent was the parent who regularly worked night shifts, (when the children normally would have been sleeping), while the applicant primarily worked during the day. That would have strengthened the likelihood of the children spending more of their waking hours with their mother. It similarly meant that the respondent would have been the one available to attend to certain daytime needs of the children, (such as retrieving them from school and taking them to medical appointments – in respect of which the respondent was able to provide considerable details which the applicant did not mention).

- The above impressions, inferences and conclusions were reinforced by various admissions made by the applicant during the course of cross-examination; e.g., that the respondent was primarily responsible for certain internal household duties such as the cooking of meals, in addition to additional responsibilities she assumed or shared for external chores such as snow removal and yard work.

- When the applicant left the matrimonial home following police involvement, and during an initial separation in the fall of 2012, the respondent carried on alone at the matrimonial home, with primary care of the children. Such decisions suggest

[69] In saying that, I am mindful of the fact that the respondent herself required shoulder surgery in early December of 2012 which prevented her from returning to work until May of 2013. However, that physical restriction coincided with only the final 2-3 months of the marriage.

and reflect, in my view, implicit recognition of the respondent's demonstrated ability to serve as the children's primary caregiver.

[99] I already have touched on many further considerations and findings relating to spousal support, but by way of reiteration and expansion, they include the following:

- This was not a short or ephemeral relationship, but a relatively extended one of approximately 17 years duration, producing three children.

- The parties are approximately the same age. However, the respondent, who has struggled with physical challenges, has a demonstrable need for support, insofar as she is living a very modest lifestyle not commensurate with the accustomed standard of living during the relationship. At the same time, the applicant has the financial ability to extend support, despite his own physical disabilities.

- The respondent has been working incessantly since the time of separation, in an effort to earn as much income as possible, (albeit at lower levels than she had been enjoying, for the reasons outlined above). She also has a meaningful plan to increase her earning capacity through further education and enhancement of her professional qualifications. Further financial support would enhance her ability to complete such measures more quickly, and foster economic independence.

[100] Having regard to all the evidence, I find the applicant is entitled to spousal support on compensatory and non-compensatory grounds. Without limiting the generality of the foregoing:

- She is entitled to spousal support on compensatory grounds because she assumed a considerably greater share of the domestic and childcare responsibilities during the course of the parties' relationship.

- She is entitled to spousal support on non-compensatory grounds because she has experienced adverse consequences as a result of the marriage breakdown. In particular, for the reasons outlined above, disintegration of the parties' relationship forced her to transition to the role of a single parent, (during the weeks she had the children), in which she lacked the physical, financial, childcare and temporal resources necessary to cope adequately, collectively leading to the loss of her more lucrative employment. She continues to struggle with the lingering aftermath of that situation.

[101] In their respective written submissions, the parties effectively took issue with the extent of the spousal support issues I was to decide. In that regard:

- The Respondent addressed not only questions of entitlement, but went on to make submissions regarding proper quantification of spousal support if such an entitlement was recognized in the circumstances. Those submissions were buttressed by references to the *Spousal Support Advisory Guidelines*.

- The Applicant, in contrast, emphasized that the agreed issues put to me for resolution, in relation to spousal support, focused exclusively on whether the Respondent should receive spousal support at all, and did not extend to quantification of any such support. i.e., on "Determination of whether or not the Respondent has an *entitlement* to spousal support", (emphasis added).

[102] I agree with the Applicant in that regard.

[103] As emphasized by what the Supreme Court of Canada said and did in *Bracklow v. Bracklow, supra*, entitlement to spousal support and quantification of the support to which a spouse may be entitled are discrete issues, capable of being addressed sequentially and separately.[70]

[104] In this case, in relation to spousal support, the parties agreed that I was being asked only to make a "Determination of whether or not the Respondent has an *entitlement* to spousal support". [Emphasis added.] They were confident that any further issues would be resolved through further discussion and calculation. In the circumstances, there was a reasonable expectation that neither party was obliged, at trial, to lead evidence or cross-examine in relation to matters beyond the list of agreed issues.

[105] It accordingly would not be appropriate for me, in the present context, to embark on quantification of spousal support.

Retroactivity of claim for child support

[106] The issues of whether and when a court should exercise its discretion to grant retroactive child support was addressed by the Supreme Court of Canada in *D.B.S. v. S.R.G.; L.J.W. v. T.A.R.; Henry v. Henry; Hiemstra v. Hiemstra*, [2006] 2 S.C.R. 231.[71]

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[70] Ibid., at paragraph 61. After extended consideration of whether the wife in that case had an entitlement to spousal support, and confirmation that she did, the Supreme Court of Canada left determination of the appropriate quantum of support to the trial judge for resolution, absent settlement between the parties.

[71] Hereinafter referred to as the "*D.B.S.*" decision.

[107] The Supreme Court emphasized that, in determining whether or not a retroactive award is due, courts should strive for a holistic view of the matter in exercising their discretion. In particular, each case is to be decided on the basis of its particular factual matrix and with regard to the following factors, none of which is decisive:

i. **Whether or not there is a reasonable excuse for why support was not sought earlier**. Delay in seeking child support is not presumptively justifiable, and an arbitrary decision not to apply for child support, where the need for support payments or higher support payments is known, generally will warrant a finding that there was no reasonable excuse for delay. However, this is balanced with sensitivity to practical concerns. For example, courts "should not hesitate" to find a reasonable excuse for a delayed child support application where the recipient spouse harboured justifiable fears that a payor parent would react vindictively to a support application, lacked the financial or emotional means to bring such an application, and/or received inadequate legal advice.

ii. **Conduct of the payor parent.** Where the payor spouse engages in blameworthy conduct, (defined in this context as "anything that privileges the payor parent's own interests over his or her children's right to an appropriate amount of support"), this militates in favour of retroactive child support. Examples of such blameworthy conduct include the following: hiding income or income increases; intimidation of the recipient parent to deter a child support application; misleading a recipient parent into mistakenly believing that proper child support obligations are being met; and doing nothing more than consciously choosing to ignore child support obligations. On the other hand, a reasonably held belief that such applications are being met, (e.g., demonstrated by the making of payments close to what should have been made and/or compliance with an order or agreement), may negate a finding of blameworthy conduct. Moreover, some conduct by a payor parent, (such as significant alternative contributions to the support of his or her children), may militate against a retroactive award.

iii. **Circumstances of the child**. Hardship suffered by children through an unfulfilled support obligation can affect whether or not the obligation should be enforced retroactively for their benefit, and courts focus on both past and present circumstances of the child to decide whether such an award is justified. While a child currently enjoying a high standard of living may benefit less from a retroactive award than a child currently in need, a retroactive award also may be appropriate to compensate a child who underwent hardship in the past when his or her needs were not met because of a parent's failure to pay support that should have been paid.

iv. **Hardship occasioned by a retroactive award**. This consideration recognizes that retroactive awards are not intrinsically linked to what a payor parent currently may be able to afford, and may very well disrupt that parent's management of his or her financial affairs in a way that prospective awards do not. Such hardship is much less of a concern when it stems from the payor parent's own blameworthy conduct. Moreover, while it is not always possible to avoid such hardship, it can be minimized through orders which consider alternative means of redress, including possible combination of lump sum awards and/or period payments.[72]

[108] Once it has been established that a retroactive award is due, the award generally should be made retroactive to "the date when effective notice was given to the payor parent", meaning "any indication by the recipient parent that child support should be paid, or if it already is, that the current amount of child support needs to be renegotiated". Effective notice does not require the recipient parent to take any legal action. All that is required is that the topic be broached.[73]

[109] There nevertheless are some limits on that general approach to retroactivity of child support orders. In particular:

- A prolonged period of inactivity after the giving of effective notice may restore a payor parent's reasonable interest in certainty. Consistent with s.25(1)(a) of the *Guidelines*, it therefore usually will be inappropriate to make a support award retroactive to a date more than three years before formal notice was given to the payor parent.[74] However, even within that three year period, where a court finds that there has been an unreasonable delay after effective notice was given, it may be appropriate to exclude that period of unreasonable delay from the calculation of the award.[75]

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[72] See the *D.B.S.* decision, at paragraphs 99-116.

[73] Ibid., at paragraphs 118, 121 and 124.

[74] Ibid., at paragraph 123 and 125.

[75] Ibid., at paragraph 130. I appreciate that the Supreme Court addressed that possibility in the context of discussing quantification of a retroactive award, and that the parties in this case essentially have asked me to focus

- Furthermore, where the payor parent has engaged in blameworthy conduct, (e.g., by intimidating or lying to the recipient parent, and/or by failing to disclose a material change such as increased income), the date when circumstances changed materially will be the presumptive start date of the award.[76]

[110] As noted above, notwithstanding the parties' separation in February of 2013, the children's residence with the respondent for much of the post-separation period, and known disparities in the parties' actual incomes, the applicant in this case paid no child support until February 2, 2013, almost three years after separation.

[111] According to the applicant, there initially was no discussion about child support, apart from the respondent saying to the applicant that she neither needed nor wanted his money. Moreover, the applicant says he similarly received no request for child support from the respondent in the immediate wake of her job termination. As noted above, the first notice of a claim for child support apparently came with service of the respondent's answer on February 13, 2014.

[112] To determine whether or not a retroactive order of support is appropriate in the circumstances, I turn next to consideration of the factors highlighted by the *D.B.S.* decision.

[113] First, in that regard, I am satisfied that there were circumstances which, separately or collectively, provide a reasonable explanation for the respondent's failure to raise the subject of support before she eventually did following the parties' separation. In particular:

- There had been significant tension and animosity between the parties requiring repeated police intervention, and I accept the respondent's testimony that, during the understandably emotional process of the marriage breakdown and parties' separation, the applicant initially had made statements, in the presence of the children, that they would wind up "living in a cardboard box" if they went to live with their mother. In the result, the respondent had good reason to be apprehensive about the applicant's reaction to her assertion of adverse positions.

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on the temporal aspects of child support entitlement, rather than quantification. However, possible exclusion of a time period for unreasonable delay obviously might affect the date to which a retroactive award should be made, which brings the possibility within the ambit of the matters the parties have asked me to decide.

[76] Ibid., at paragraphs 124-125, and 134.

- The respondent was suffering physically in the wake of major shoulder surgery entailing prolonged recovery, use of a sling attached to her waist for at least two months, and physiotherapy that continued even after her forced return to work for monetary reasons, contrary to the stated preference of the respondent's surgeon.[77]

- The respondent also was suffering financially, owing to the loss of her job at FAG.

- For possibly related reasons, the respondent also initially encountered difficulties in retaining and keeping counsel, prior to her present lawyer taking up the case and delivering the respondent's answer and counterclaim.

[114] Second, in my view there was a degree of misconduct by the applicant, in the sense of his preferring his needs to those of his children, misleading the respondent as to the extent of his effective contributions, and acting in a manner that needlessly increased expenses necessarily borne by the respondent, thereby leaving her with less resources for the children. For example:

- I accept the respondent's evidence that, when the applicant vacated the matrimonial home to live with his parents, there was an understanding that he nevertheless would continue sharing in the payment of various household expenses. (Such an arrangement seems sensible, given that the applicant continued to earn full time wages while the respondent was earning significantly less while on disability, and considering that the applicant was paying nothing to live with his parents while the needs of the children in relation to the matrimonial remained unchanged.) However, the applicant failed to continue with contributions in that regard, leading to a progressive cancellation of services.

- The applicant also unilaterally terminated his payment of insurance in relation to the vehicle being driven by the respondent, without informing the respondent of his decision or sharing the subsequent registered letter from the insurer, sent to the residence of the applicant's parents, providing notice of the intended cancellation. Cancellation of the respondent's existing automobile insurance for non-payment of premiums in turn made it difficult for her to obtain new

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[77] Although the respondent had access to short term and long term disability benefits through her employment at FAG, the percentages were not comparable to the full wages she would receive through active employment, and the respondent was finding that, to provide for herself and her children, she needed more money than she was receiving on disability.

insurance, (in part because of the cancellation but also because of her involvement in the accident that injured the applicant), thereby forcing her to rent an automobile instead of using the van that was otherwise available to her before it eventually was sold.

[115] Third, it seems to me that the children have experienced a degree of unfortunate deprivation that could have been avoided had child support been rendered on a more timely basis. While they were in the respondent's care, she has been unable to supply them with new clothes, or certain services and activities such as access to television and/or modest social outings. They were forced to sleep without beds for a period of time. They also regularly experienced transfers late at night and early in the morning which might have been avoided through more flexible babysitting arrangements, had they been affordable. Timely child support also may have enabled the respondent to work less and sleep more, without necessarily taking away from the children's time with their mother.

[116] Finally, it seems unlikely that a retroactive child support will entail much if any hardship to the respondent. He has access to considerable assets which have been increasing in value. To the extent he is required to pay child support now that should have been paid earlier, a retroactive obligation now will be offset by his earlier savings and corresponding investment growth.

[117] In the circumstances, I am satisfied that an order for retroactive child support is appropriate.

[118] Moreover, I see nothing in this case that would warrant deviation from the general rule that such child support should be ordered retroactive to the date of "effective notice", which in this case occurred with service of the respondent's answer on February 13, 2014. In particular, that date is well within the three year maximum period contemplated by the Supreme Court of Canada, and for the reasons outlined above I do not think the respondent's delay within that period was unreasonable.

Retroactivity of claim for spousal support

[119] The test to be applied in considering a request for retroactive spousal support was considered by the Supreme Court of Canada in *Kerr v. Baranow*, [2011] 1 S.C.R. 269. In that regard:

- It was acknowledged that, while the *D.B.S.* decision was concerned with child support as opposed to spousal support, similar considerations to those set out in the context of child support, (i.e., the reason for the delay in seeking support, conduct of the payor, the needs of the recipient, and hardship that a retroactive award may impose on the payor), also are relevant to deciding the suitability of "retroactive" spousal support.[78]

- It was emphasized that there nevertheless are important conceptual differences between child and spousal support. In particular, the entitlement to child support is automatic, whereas an entitlement to spousal support is discretionary. In other words, there is no presumptive entitlement to spousal support and, in contrast to child support, a spouse generally is not under any legal obligation to look out for the legal interests of the separated spouse. Concerns about notice, delay and misconduct therefore generally carry more weight in relation to claims for spousal support.[79]

- In considering when a retroactive spousal support order should commence, the Supreme Court of Canada made reference to the Ontario Court of Appeal's decision in *MacKinnon v. MacKinnon* (2005), 75 O.R. (3d) 175, wherein the date of the initiation of proceedings for spousal support was described as the "usual commencement date", absent a reason not to use that date.[80] Depending on the facts, the date on which formal proceedings were commenced obviously may be different from the date on which "effective notice" of a claim for spousal support was given, and therefore diverge from the "general rule" and "default option" adopted in the D.B.S. case in relation to retroactive child support claims. Speaking for the Supreme Court in *Kerr v. Baranow, supra*, Justice Cromwell indicated that, while a "decision to order support for a period before the date of the order should be the product of the exercise of judicial discretion in light of the particular circumstances", the fact that an order is sought effective from the commencement of proceedings will often be "a significant factor in how the relevant considerations are weighed".[81]

[120] I already have outlined my thoughts concerning the four considerations outlined in *Kerr v. Baranow, supra*, insofar as they relate to the claim for retroactive child support in this case. In my view, they have equal application to the respondent's claim for retroactive support, albeit modified to recognize, in my view, that not only the respondent but the

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[78] *Kerr v. Baranow, supra*, at paragraph 207.

[79] Ibid., at paragraph 208.

[80] Ibid., at paragraph 211.

[81] Ibid., at paragraph 211.

respondent has undergone deprivations that would have been alleviated or avoided had there been more timely spousal support.

[121] In my view, the respondent should be entitled to retroactive spousal support.

[122] As for how far back such an order should reach, in this case, according to the uncontradicted testimony of the applicant, the "effective date" of notice that the respondent wanted spousal support is the same as the date on which her formal claim seeking such support was commenced; i.e., February 13, 2014, when the respondent delivered her answer and counterclaim. I see no reason why that should not be the date from which retroactive support should be granted.

Conclusion

[123] In the result, my conclusions may be summarized as follows, numbered in a manner corresponding to the list of "Issues Requiring Determination By Trial" set out above:

1. In relation to equalization of net family property:

    a. No deduction should be made from the applicant's property or net family property for any of the alleged parental loans to the applicant by Ms Nigro or her husband.

    b. All components of the remaining non-structured settlement funds should be excluded from the applicant's "net family property". The same is true of the applicant's structured settlement entitlements, insofar as they reflect income replacement and future care cost accident benefits.

2. In relation to support:

    a. As suggested by the parties, the incomes set forth in their respective 2015 tax returns generally should be the starting point. However, that does not preclude certain apparently non-controversial adjustments, such as the "grossing up" of tax-free receipts pursuant to s.19(1)(h) of the *Guidelines*. Moreover, a corollary of excluding the applicant's non-structured settlement funds relating to income/wage loss from net family property is that they should be included in the income of the applicant for support calculation purposes if, when and as that portion is drawn upon by the applicant after the parties' separation. The applicant should provide the respondent with ongoing disclosure to confirm whether there have been such draws, and if so, their timing and quantification. To the extent the parties have not agreed on the necessary apportionment and segregation of the percentage of remaining non-structured settlement funds relating to income/wage loss, that further issue may be submitted to the court for determination, with appropriate evidence, if and as necessary. As for the further specific income adjustment issues currently put to the court for resolution:

i. The portion of monthly payments received by the applicant from the structured settlement funds relating to income replacement benefits, (as distinct from the remaining portion of such monthly payments relating to care, treatment and rehabilitation of the applicant), also should be included in the income of the applicant. The applicant similarly must provide the respondent with ongoing disclosure to confirm the existence, timing and quantum of such receipts. The necessary apportionment of the structured settlement receipts, (i.e., between those representing income replacement benefits and those representing benefits relating to the applicant's future care), also may be submitted to the court for determination, with appropriate evidence, if and as necessary.

ii. No income should be attributed to the respondent for the purpose of support calculations.

b. The respondent has an entitlement to spousal support.

c. In relation to the respondent's claims for retroactive support:

i. Retroactive child support is appropriate, and should be ordered retroactive to the date of "effective notice", which in this case is service of the respondent's answer on February 13, 2014.

ii. Retroactive spousal support is appropriate, and similarly should be ordered retroactive to the same date of "effective notice"; i.e., service of the respondent's answer on February 13, 2014.

Costs

[124] Because my decision was reserved, the parties had no opportunity to make any submissions in relation to costs.

[125] My preliminary view is that success was substantially divided, suggesting that each party should bear his or her own costs of the proceeding.

[126] However, if the parties take a different view, and are unable to resolve costs by way of agreement, I will receive further written submissions in that regard. In particular, each side may tender written cost submission, limited to five pages in length, (not including any attached bill of costs or offers of settlement), within two weeks of the date upon which this decision is released.

[127] If no written submissions are delivered on or before that date, there shall be no costs awarded by the court in relation to the proceeding.

Justice I. F. Leach

Date: November 7, 2016

CITATION: Lukovnjak v. Weir, 2016 ONSC 6893
COURT FILE NO.: 13-250
DATE: 2016/11/07

ONTARIO

SUPERIOR COURT OF JUSTICE

BETWEEN:

Michael Vlado Lukovnjak

Applicant

– and –

Lori Ann Weir

Respondent

REASONS FOR JUDGMENT

Leach J.

Released: November 7, 2016